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APAC Consumer

The Compass: The Consumer Is More Selective; We Are Too

APAC Consumer

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The authors note the contribution of the entire APAC Consumer analyst team, listed on page 3.

APAC Consumer is not one market, and we don't cover it with one view. Across ~200 companies, $2.3T of market value and 10 countries, the old playbook of buying structural growth or cheap valuation is no longer enough. We think the better opportunity is in companies that convert selective demand into earnings and ROIC upgrades through execution, channel advantage and capital discipline. Within markets, we like Japan, Korea and India, stay cautious on China and Australia, and remain on the sidelines in ASEAN. But country allocation is only the starting point. The bigger alpha sits at the stock level, where we focus on companies that control their own earnings cycle rather than depend on macro, category growth or valuation mean reversion. Our top 5 picks are: Fast Retailing, ASICS, Titan, Nongfu and APR and our top 5 avoids are PopMart, Mixue, UBBL, Yakult and Endeavour. See Table 1 for the full list of our preferred stocks.

- **Selective wallets are widening earnings dispersion.** Consumers are cutting back on commoditized purchases but continue to spend on trusted, differentiated and aspirational brands. This fuels a barbell dynamic: value formats capture frequency-led and affordability-led demand, while premium brands sustain growth through compelling propositions. As a result, selected Discretionary names increasingly outshine Staples, especially where share gains, brand heat, tourism tailwinds, formalization and channel evolution support earnings momentum. We expect a wider divide in volume growth, pricing power and profitability across companies operating in the same market.
- **Our Quality Lens assesses for Durability and Visibility.** Pricing alone is no longer a reliable earnings lever where consumers are price-sensitive and competition is intense. We prefer companies that can defend margins through procurement, mix, advertising efficiency, channel optimization, and restructuring, while still investing for growth. Channels are also becoming moats rather than just routes to market, shaping discovery, conversion, data and repeat purchase. Global scalability separates true global champions from domestic-demand proxies, in our view, but repeatability matters more than reach.
- **Country allocation: buy upgrades, not cheapness.** Our preference for Japan, Korea and India is not valuation-led: China and ASEAN are two of the cheapest markets vs. history (Table 2), while Japan and Korea screen among the most expensive – but cheapness is not a catalyst when estimate risk stays high. We like **Japan** for its dependable earnings, helped by reflation, returning pricing power, global champions and stronger capital returns. We also like **India**, where revenue estimates are already improving, with profit upgrades likely as cost pass-through completes, supported by formalization, premiumization and penetration. In **Korea** we are more tactical, but estimates are rising as K-brands globalize and tourism/wealth effects support domestic demand. We stay cautious on **China**, where downtrading, price competition and weak pricing power continue to push consensus lower, and on **Australia**, where consensus forecasts are still being cut with little valuation support. We stay on the sidelines for **ASEAN**, where cheapness lacks near-term catalysts amid macro/FX pressures.

See page 46 for analyst certification and important disclosures, including non-US analyst disclosures.

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- **Stock selection is the alpha engine.** We favor companies that can self-fund their earnings upgrades, regardless of the macro backdrop. Our highest-conviction ideas fall into two groups: quality compounders with durable demand, resilient pricing power and strong returns on capital at reasonable valuations; and self-help stories that drive earnings through innovation, mix improvement, channel control, cost discipline, portfolio optimization and operational turnarounds. The differentiator: earnings the company controls, not demand it hopes for. By contrast, we remain cautious on names that rely on category beta, easier comps or valuation rerating without a credible path to sustained earnings upgrades.

Table 1: APAC Consumer – Top Picks and Top Avoids

		China	India	Japan	Korea	ASEAN	Australia
JPM Consumer View		**Cautious**	**Positive**	**Positive**	**Positive**	**Neutral**	**Cautious**
Top Picks	**Quality compounders**	Midea, Nongfu, Anta	TTAN, LENSKART	Fast Retailing, Asics, Ryohin Keikaku	APR	CPALL, MAPA, MSN	
	Self-help turnaround	Luckin	TATACONS	Lion, Kao,Meiji, Kikkoman	Shinsegae, BGF	99SMART, INDF	Sigma
Top Avoids		PopMart, Mixue, Ecovacs, Eastroc, WLY	UBBL, HAVL	Aeon, Nitori, Yakult, Calbee	LG H&H	Unilever Indonesia	Endeavour

Source: J.P. Morgan.

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Our View From the Top

Across APAC Consumer, we cover ~200 companies across 10 countries and 10 sub-sectors, representing US$2.3T in market capitalization. While valuations have broadly de-rated over the past five years (excluding Japan and Korea), the correction has been highly uneven, creating significant dispersion across markets and categories. This mirrors the fact that more earnings forecasts have been cut than raised in APAC Consumer, however, with diverging trends. Japan largely escaped the cuts and its estimates based on consensus forecasts are rising; India is turning, first with revenues; Korea has just left the cycle after years of cuts. China, ASEAN and Australia earnings forecasts are still being cut — for different reasons, at different prices. We believe this marks a shift from a broad "structural growth" trade to a "stock picker's market".

Table 2: APAC Consumer – At a glance

US$

	Market Cap		# of stocks		Share performance			Consensus revision: Net profit (NTM)		Valuation (12M forward P/E)				NTM growth %	
								Revision %	Trend	P/E	Mean	Prem /	P/E trend		
	Total	Covered	Total	Covered	1M	3M	YTD	(3M)	(12M)	(x)	(5Y hist.)	(disc) to 5Y	(5Y)	Sales	NP
Greater China	**$1,179B**	**$972B**	**110**	**65**	**(3%)**	**(3%)**	**(14%)**	**(3.1%)**		**13.8x**	**18.8x**	**(26%)**		**+6.7%**	**+7.6%**
Discretionary	$508B	$458B	59	42	(2%)	(1%)	(13%)	(3.8%)		11.8x	15.3x	(23%)		+8.7%	+9.0%
Staples	$671B	$514B	51	23	(4%)	(4%)	(14%)	(2.7%)		16.0x	21.6x	(26%)		+5.2%	+6.2%
India	**$369B**	**$326B**	**33**	**25**	**(2%)**	**2%**	**(3%)**	**(1.1%)**		**41.7x**	**45.4x**	**(8%)**		**+13.0%**	**+12.0%**
Discretionary	$131B	$94B	17	10	3%	16%	11%	1.5%		54.5x	62.0x	(12%)		+18.6%	+23.6%
Staples	$238B	$231B	16	15	(5%)	(5%)	(10%)	(2.5%)		37.0x	41.6x	(11%)		+10.0%	+8.3%
Japan	**$671B**	**$643B**	**56**	**51**	**(4%)**	**5%**	**12%**	**3.4%**		**23.2x**	**23.9x**	**(3%)**		**+7.4%**	**+9.1%**
Discretionary	$297B	$278B	17	14	(7%)	(2%)	21%	5.2%		30.1x	32.0x	(6%)		+10.0%	+13.4%
Staples	$374B	$365B	39	37	(1%)	10%	6%	2.0%		19.7x	20.6x	(4%)		+5.3%	+7.0%
Korea	**$109B**	**$45B**	**26**	**13**	**13%**	**(5%)**	**37%**	**5.7%**		**12.5x**	**10.8x**	**16%**		**+13.7%**	**+25.1%**
Discretionary	$44B	$14B	11	6	11%	(24%)	42%	4.3%		9.8x	8.6x	15%		+6.3%	+27.7%
Staples	$65B	$31B	15	7	14%	14%	35%	6.7%		15.4x	13.2x	17%		+18.7%	+22.4%
ASEAN	**$130B**	**$85B**	**35**	**23**	**2%**	**4%**	**(3%)**	**1.5%**		**13.1x**	**17.3x**	**(24%)**		**+6.3%**	**+8.6%**
Discretionary	$35B	$24B	11	7	1%	5%	(1%)	2.2%		14.5x	20.8x	(30%)		+6.7%	+10.5%
Staples	$95B	$61B	24	16	2%	4%	(4%)	1.2%		12.7x	16.3x	(22%)		+6.1%	+8.0%
Australia	**$214B**	**$214B**	**21**	**21**	**(8%)**	**5%**	**1%**	**(1.1%)**		**23.5x**	**23.1x**	**2%**		**+10.5%**	**+12.7%**
Discretionary	$125B	$125B	15	15	(10%)	4%	(5%)	(1.5%)		23.5x	23.4x	0%		+4.5%	+7.6%
Staples	$89B	$89B	6	6	(5%)	6%	10%	(0.6%)		23.6x	22.5x	5%		+18.9%	+20.8%
APAC Consumer	**$2,672B**	**$2,285B**	**281**	**198**	**(3%)**	**1%**	**(3%)**	**(0.5%)**		**17.7x**	**21.0x**	**(16%)**		**+8.3%**	**+9.4%**
Discretionary	$1,140B	$994B	130	94	(3%)	0%	(0%)	(0.1%)		16.8x	19.2x	(12%)		+9.6%	+11.1%
Staples	$1,532B	$1,291B	151	104	(2%)	1%	(5%)	(0.7%)		18.5x	22.2x	(17%)		+7.4%	+8.0%

Note: APAC Consumer universe includes 281 covered and not covered stocks (excluding auto-related and pure e-commerce/online platforms); not covered stocks are screened for ≥US$1bn market cap and ≥US$3m average daily liquidity. Past performance is not an indicator of future results.
Source: J.P. Morgan, Bloomberg Finance L.P.

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Table 3: APAC Consumer – Top stock picks and sub-segment preference

	China	India	Japan	Korea	ASEAN
Consumer Discretionary					
Fashion / Sportwear Retail	Anta		Fast Retailing, Ryohin Keikaku, Asics		MAPA
Discretionary Retail		TTAN, LENSKART		Shinsegae	MRDIYT
Food services	Luckin				
Appliances / Home Improvement	Midea	LGEL, PIDI			
Consumer Staples					
HPC / Cosmetics		MRCO	Rohto Pharma, Lion, Kao, Unicharm	APR	
Foods & Beverages	Nongfu	TATACONS	Meiji, Kikkoman		FFB, INDF, CNPF, MSN
Alcoholic Beverages					
Tobacco			Japan Tobacco		
Grocery Retail/CVS/ Drug stores				BGF	99SMART, CPALL

Note: Colour indicates sub-sector preference. Green indicates a positive stance. Yellow is neutral while Red is cautious.
Source: J.P. Morgan.

Table 4: APAC Consumer – Key Avoids

	China	India	Japan	Korea	ASEAN
Consumer Discretionary					
Fashion / Sportwear Retail					
Discretionary Retail	Pop Mart		Nitori, Kobe Bussan		
Food services	Mixue				
Appliances / Home Improvement	Supor, Ecovacs	HAVL	K's HD		
Consumer Staples					
HPC / Cosmetics	Shanghai Jahwa	DABUR		LG H&H	Unilever Indonesia
Foods & Beverages	Eastroc, CR Beverage		Yakult, Calbee		
Alcoholic Beverages	Budweiser APAC, Wuliangye, Yanghe	UBBL			
Tobacco		ITC			
Grocery Retail/CVS/ Drug stores			Aeon, Cosmos		

Note: Colour indicates sub-sector preference. Green indicates a positive stance. Yellow is neutral while Red is cautious.
Source: J.P. Morgan.

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The Quality Lens: Durability and Visibility

In an environment of persistent cost inflation, uneven demand and geopolitical uncertainty, earnings growth is increasingly driven by execution rather than pricing. As a result, we do not equate value with cheapness. Instead, the J.P. Morgan APAC Consumer team assesses every covered company on two dimensions – Durability and Visibility. Durability is the business's ability to hold its position: pricing power, competitive landscape, market share and capital allocation prudence. Visibility is how reliably that converts into forecastable earnings: demand visibility, input-cost exposure, channel execution and margin resilience. Note, however, that these assessments are the covering analyst's judgment, made relative to consumer peers in the same country. The assessments sit alongside the analysts' ratings and our sector views (scorecards on each country page inside): preferred names generally score well on these columns, and the least-preferred generally don't. But they are not a stock picking model; ratings also reflect our views and valuation analysis on the stock, while the Durability/Visibility assessment is more about the business itself.

The highest-conviction ideas are those that can simultaneously deliver sustainable growth, earnings upgrades and superior returns on capital. Consequently, our preferred stocks (Figure 1) tend to be high-quality compounders with strong fundamentals, visible growth runways and attractive capital efficiency. While these businesses often trade at premium valuations, we believe those premiums are warranted by their ability to consistently create shareholder value, rather than by short-term market sentiment alone.

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Figure 1: APAC Consumer – Top picks scorecard

	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
China							
Midea	◔	◔	●	◕	◕	●	●
Nongfu	◕	◕	◕	○	◕	◔	●
Luckin	●	◔	◑	○	◕	◔	◕
Anta	◔	◑	◕	◕	◕	◔	◕
India							
Titan	◕	◕	◑	◑	◕	◑	◕
Lenskart	●	◑	◕	◕	◕	◕	◕
Tata Consumer	◕	◕	◕	◑	◕	◑	◑
Marico	◑	◕	◔	◕	◕	◕	●
LG Electronics	◔	◕	◑	◑	◕	◔	◕
Pidilite	◑	◕	◕	◕	◕	◑	◕
Japan							
Fast Retailing	◑	●	◔	◔	●	●	◕
Asics	◑	◕	◔	◑	◕	●	◑
Ryohin Keikaku	◔	●	◔	◔	●	●	◕
Rohto Pharma	◔	◕	◑	◔	◕	●	◑
Lion	○	◕	◔	◕	◑	◕	◕
Kao	○	◕	◔	●	◕	◑	◕
Unicharm	◔	◕	◔	◕	◑	●	◕
Meiji	◔	●	◑	◑	◑	◔	◑
Kikkoman	●	●	◑	◑	◑	●	◑
Japan Tobacco	○	●	◕	●	◕	●	●
Korea							
APR	●	◑	●	○	●	●	◑
Shinsegae	●	◕	○	◕	◑	◔	◑
BGF	○	○	◔	◔	●	◔	◔
ASEAN							
CPALL	○	◕	◑	●	●	◔	◔
MAPA	◔	◑	◑	◕	◑	◕	◑
99SMART	◔	◔	◕	◔	◕	◔	◑
INDF	○	●	◑	●	◑	◑	◔
FFB	◑	◕	○	◑	◕	◑	◑
CNPF	◔	◕	●	◕	◕	◑	●
MSN	◕	◕	●	◔	◕	◑	◑
Australia							
Sigma	◑	◑	●	◕	●	◕	◕
JB Hi-Fi	○	◑	●	●	◕	◑	◕

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Three Themes

Earnings that travel

The best consumer franchises no longer rely on a single home market. For example, **ASICS** generates the bulk of its revenue outside Japan, **Fast Retailing** and **Ryohin Keikaku** continue to scale through global store rollouts, **APR** is driving upgrades via its US and European businesses, while **Titan** and **Lenskart** are emerging as among the first Indian brands with truly exportable playbooks. Markets reward these companies because global earnings diversify risk, extend growth runways, and reduce dependence on volatile domestic demand cycles. The catch is execution: overseas success demands localization, channel discipline, and inventory control. Winners transplant their operating model; laggards simply transplant their products. With Chinese brands expanding into ASEAN and Korean consumer brands pushing beyond beauty into adjacent categories, the next wave of regional champions is taking shape, but so is the divide between global winners and also-rans. **Beneficiaries: ASICS, Fast Retailing,**

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The hollow middle

Consumers are increasingly bifurcating spending, trading down for value and trading up for quality, leaving the middle under pressure. Value-led players continue to win through superior affordability, accessibility and purchase frequency, whether through China's discount-led beverage chains or India's value packs and everyday-low-price formats. At the other end, premium brands are capturing disproportionate growth where health, trust, aspiration or experience justify higher spending, particularly in beauty, jewellery and functional foods. The real casualty is the undifferentiated middle, which lacks both a compelling price advantage and a strong premium proposition, resulting in persistent share loss across categories and markets. The investment question is not where a company sits on the barbell, but whether it dominates its end of it. Sustained success in value requires scale-driven cost advantages that competitors cannot replicate, while premium leadership demands brand equity and pricing power that endure through cycles. China is the exception that proves the rule: the barbell skews to one side only, with value formats compounding while the premium end has been the casualty for most local operators and where our China picks cluster. **Beneficiaries: Luckin, Titan and Nongfu,** while mid-market brands lacking both scale economics and pricing power remain most exposed.

Pricing power

As input cost inflation re-emerges as the key earnings swing factor into 2H26E, the market is increasingly distinguishing companies by their ability to pass through costs rather than simply generate demand. Japan and India are largely passing through inflation and protecting margins, while Chinese consumer companies remain trapped in price wars and ASEAN faces limited room for price increases. Where companies can raise prices, earnings estimates hold; where they cannot, margins must be salvaged through better procurement, mix and cost discipline. In this environment, we see pricing power as more than a margin lever; it is the clearest signal of brand strength and competitive advantage. **Beneficiaries: Kao, Japan Tobacco, Pidilite, Tata Consumer and Nongfu.**

Three Conclusions

First, the earnings cycle has split by country. We favor Japan, Korea and India, where the earnings cycle is improving, while remaining cautious on China and ASEAN. After almost three years of consensus forecast downgrades, revenue revisions have turned positive across Japan, Korea and India. EPS revision breadth has already become positive in Japan and Korea, with India showing signs of stabilization, creating a more supportive backdrop for stock performance.

Table 5: APAC Consumer – Earnings revisions have turned positive for Japan and Korea; India Discretionary turns stable

% YTD Net Profit Revisions (NTM)

	G.China	India	Japan	Korea	Asean	Australia	APAC
Discretionary	**(8%)**	**1%**	**13%**	**26%**	**(3%)**	**(5%)**	**0%**
Fashion & Footwear	(11%)	(7%)	19%	15%	-	-	8%
Gold & Jewellery	4%	11%	-	-	-	-	8%
Home & Consumer Durables	(8%)	(13%)	2%	29%	-	(2%)	(4%)
Specialty & Discretionary Retail	(21%)	12%	8%	38%	10%	(3%)	(1%)
Restaurants & Beverage Chains	(1%)	(36%)	20%	-	(24%)	24%	0%
Leisure & Others	(2%)	(5%)	(5%)	(8%)	(17%)	(11%)	(6%)
Staples	**(10%)**	**(5%)**	**7%**	**16%**	**(1%)**	**(3%)**	**(3%)**
Alcohol & Tobacco	(17%)	(14%)	20%	6%	(1%)	(7%)	(8%)
Food & Non-Alcoholic Beverage	(2%)	(1%)	2%	(2%)	2%	-	(0%)
Beauty & Personal Care	(13%)	(3%)	1%	33%	(9%)	-	2%
Food & Staples Retail	18%	(3%)	(3%)	(1%)	(4%)	(2%)	0%
Consumer Total	**(9%)**	**(3%)**	**9%**	**20%**	**(1%)**	**(4%)**	**(2%)**

Source: J.P. Morgan, Bloomberg Finance L.P.

Second, Discretionary screens more attractively than Staples. Better earnings momentum (Discretionary profit revisions have turned favourable across most countries over the past three months; while Staples are still being cut) and the persistence of long-term growth (share gains, overseas expansion, premiumization are key levers) support our preference for Discretionary exposure across the region. In particular, Japan Apparel & Sportswear Retail, India Jewellery/Eyewear Retail, Korea CVS & Department Stores and ASEAN Non-Food Retail rank higher in our sub-sector pecking order.

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Table 6: APAC Consumer – Earnings growth expectations are meaningfully higher for Discretionary segments across countries (ex-Australia)

% , Net profit growth (NTM)

	G.China	India	Japan	Korea	Asean	Australia	APAC
Discretionary	**9%**	**24%**	**13%**	**28%**	**11%**	**8%**	**11%**
Fashion & Footwear	7%	19%	14%	9%	-	-	10%
Gold & Jewellery	15%	23%	-	-	-	-	17%
Home & Consumer Durables	6%	22%	5%	29%	-	13%	8%
Specialty & Discretionary Retail	11%	42%	15%	54%	14%	7%	14%
Restaurants & Beverage Chains	13%	59%	19%	-	7%	24%	14%
Leisure & Others	13%	19%	7%	14%	7%	8%	11%
Staples	**6%**	**8%**	**7%**	**22%**	**8%**	**21%**	**8%**
Alcohol & Tobacco	1%	1%	2%	11%	4%	7%	1%
Food & Non-Alcoholic Beverage	11%	15%	11%	21%	10%	-	12%
Beauty & Personal Care	10%	11%	19%	36%	(4%)	-	16%
Food & Staples Retail	37%	17%	6%	18%	8%	22%	16%
Consumer Total	**8%**	**12%**	**9%**	**25%**	**9%**	**13%**	**9%**

Source: J.P. Morgan, Bloomberg Finance L.P.

Third, our preferred names are the ones least dependent on the country call. Our highest-conviction ideas can be put into two groups: 1) Quality at reasonable price: durable demand, pricing that holds when costs rise, high returns on capital, limited earnings risk. 2) Self-help: turnarounds where the company drives its own earnings through store economics, cost programs and portfolio fixes. Both these cohorts pass the same test – earnings the company controls, not demand it hopes for. Our Top Avoids fail the same test in reverse: estimates that need demand to rescue them, at prices that assume it will.

Table 7: APAC Consumer – Top Picks and Top Avoids

		China	India	Japan	Korea	ASEAN	Australia
JPM Consumer View		**Cautious**	**Positive**	**Positive**	**Positive**	**Neutral**	**Cautious**
Top Picks	**Quality compounders**	Midea, Nongfu, Anta	TTAN, LENSKART	Fast Retailing, Asics, Ryohin Keikaku	APR	CPALL, MAPA, MSN	
	Self-help turnaround	Luckin	TATACONS	Lion, Kao,Meiji, Kikkoman	Shinsegae, BGF	99SMART, INDF	Sigma
Top Avoids		PopMart, Mixue, Ecovacs, Eastroc, WLY	UBBL, HAVL	Aeon, Nitori, Yakult, Calbee	LG H&H	Unilever Indonesia	Endeavour

Source: J.P. Morgan.

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Regional Perspectives

We discuss in detail key emerging themes across the region.

Table 8: APAC Consumer – Revenue growth screens higher for Discretionary vs Staples (ex- Korea and Australia)

%, Revenue growth (NTM)

	G.China	India	Japan	Korea	Asean	Australia	APAC
Discretionary	**9%**	**19%**	**10%**	**6%**	**7%**	**5%**	**10%**
Fashion & Footwear	7%	18%	12%	7%	-	-	11%
Gold & Jewellery	9%	21%	-	-	-	-	17%
Home & Consumer Durables	8%	13%	3%	7%	-	6%	8%
Specialty & Discretionary Retail	10%	24%	8%	3%	7%	4%	8%
Restaurants & Beverage Chains	12%	12%	13%	-	10%	7%	12%
Leisure & Others	9%	13%	5%	5%	5%	5%	7%
Staples	**5%**	**10%**	**5%**	**19%**	**6%**	**19%**	**7%**
Alcohol & Tobacco	2%	5%	6%	6%	3%	(3%)	3%
Food & Non-Alcoholic Beverage	9%	12%	5%	15%	7%	-	8%
Beauty & Personal Care	12%	9%	4%	29%	0%	-	11%
Food & Staples Retail	17%	18%	6%	4%	6%	20%	13%
Consumer Total	**7%**	**13%**	**7%**	**14%**	**6%**	**11%**	**8%**

Source: J.P. Morgan, Bloomberg Finance L.P.

Wiser wallets, wider risk bands

Consumer spending across APAC remains stable, albeit more selective, driving greater divergence in growth and earnings outcomes and favoring companies with strong brands, pricing power and differentiated offerings.

APAC consumer demand remains broadly stable, but consumers are becoming far more selective. They continue to spend, but increasingly choose where to trade down, where to stay loyal, and where to pay a premium for health, convenience, trusted brands or differentiated experiences. The result among companies is a wider dispersion in volumes, pricing power and earnings outcomes. China remains the toughest market, in our view, marked by downtrading, weak confidence and intense competition, although differentiated brands continue to win share. Japan is showing the most meaningful structural improvement, with positive real wage growth and an exit from deflation, but growth is increasingly concentrated in global champions rather than domestic consumption. ASEAN demand has proven more resilient than feared, supported by fiscal measures and staples spending, though inflation, El Niño risks and rising competition keep visibility mixed. India remains constructive, supported by premiumization and formalization, albeit with rural demand still sensitive to food inflation and monsoons. Korea is emerging as one of the strongest pockets of growth, benefiting from wealth effects, improving real incomes, tourism and global brand momentum.

Across APAC, we think market share gains, pricing power, innovation and execution matter more than category growth, reinforcing our preference for high-quality operators with strong brands, differentiated propositions and expanding profit pools.

The margin squeeze: costs are rising, competition caps the pass-through

Margin resilience is increasingly driven by operational execution rather than pricing, as companies rely on productivity, mix improvement and efficiency initiatives to offset uneven cost pressures.

Cost inflation is once again emerging as the key earnings swing factor across APAC, but we find the pressure is highly uneven. ASEAN faces rising commodity and potential El Niño-related cost risks, while fragile consumers and intensifying competition limit pricing pass-through. China remains the most challenging market, with weak demand and persistent price wars leaving companies with little ability to offset input inflation. Japan and India are further along the adjustment cycle, with price hikes increasingly offsetting raw material inflation, though volume elasticity remains a key risk given highly price-conscious consumers. Korea is relatively better positioned, in our view, with premiumization, favorable mix and channel expansion supporting profitability. Across APAC, margin defense is shifting from pricing to self-help. Procurement discipline, mix upgrades, advertising efficiency, operating leverage, channel optimization and restructuring are becoming more important. In a low-growth environment, we see margins increasingly being won operationally rather than just through price.

Value as strategy, not sacrifice

Value is increasingly becoming a structural growth driver rather than a sign of downtrading, creating opportunities for scalable volume growth and market share gains.

Value is no longer simply a sign of downtrading, as in several markets we find it is becoming a deliberate and scalable growth model with a different playbook between Staples and Discretionary. In Staples, value is showing up through sharper pack-price architecture, smaller pack sizes, entry-level SKUs, stronger price ladders and portfolio segmentation, allowing companies to defend volume without fully diluting brand equity. In markets such as India and ASEAN, where inflation and real-income pressure remain relevant, companies are balancing affordability with premiumization, using value packs to protect mass consumption while still pushing mix improvement in health, wellness, convenience and premium personal care. China's Staples consumer remains value-conscious, in our view, but is still selectively willing to pay for premium cues, health benefits and differentiated experiences.

In Discretionary, value-led growth is becoming more visible as a deliberate business model rather than a short-term discounting tool, with China shaped by low entry price points, high-frequency consumption, large-scale promotional engines and mass-market formats, particularly in tea, coffee and casual F&B. India has a similar opportunity through value meals and bundles in QSR, everyday-low-price formats in grocery retail, affordable fashion and private-label strategies in apparel. We believe the key is not simply discounting, but building a scalable model around affordability, convenience, trust and repeat consumption; the risk is margin pressure, but the reward is share gain in cautious consumer environments where value-led formats can continue to grow even when broader demand is soft.

Premiumization remains an offensive lever, though it is becoming more selective

A barbell consumption trend is emerging across APAC, with growth increasingly concentrated in value and premium segments rather than the mid-formats.

Innovation and premiumization remain key offensive levers across Asia, especially where volume-led growth is becoming harder. However, premiumization is increasingly selective and market-specific rather than broad-based. We observe that China is leaning into innovation cadence to counter slowing core categories, including health, wellness, low-alcohol/low-calorie options, functional beverages, beauty crossovers, and multi-brand strategies. India continues to anchor premiumization around functional foods, health and wellness, convenience, premium personal care, beauty, eyewear, jewelry, and experience-led formats. Korea is likely to see meaningful expansion in premium consumption, supported by wealth effects, income growth, tourism, and K-content-led brand aspiration. Japan is more mixed, but strong global brands and higher-margin adjacencies can still deliver earnings upgrades. These findings indicate thatvalue formats win on frequency and affordability, while premium brands win where income, aspiration, brand equity, and experience-led consumption remain intact.

Channels are becoming a competitive moat

Omnichannel capabilities are emerging as a critical source of competitive advantage, with superior channel execution increasingly driving market

Channel execution is shifting from a distribution lever to a driver of growth, market share and profitability. In Staples, we believe winners are increasingly defined by how effectively they balance reach, affordability and consumer engagement across

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share gains and growth.

fragmented channels. China is leading the way with social commerce, livestreaming, instant delivery and DTC models reshaping consumer engagement, while India is evolving into a barbell market where quick commerce drives innovation and premiumization, and general trade remains critical for scale and affordability. Korea's leading brands are diversifying distribution and reducing channel concentration as they scale globally. In Discretionary, channels are becoming the consumer journey itself. Online discovery, social commerce, livestreaming and omnichannel fulfillment are increasingly shaping demand, conversion and market share across beauty, retail and F&B. While these channels improve consumer targeting, frequency and data capture, they also raise the cost of growth through platform fees, promotions, content spending and fulfillment costs. The winners, in our view, will be those that use omnichannel ecosystems to deepen consumer relationships and gain share, while preserving pricing power and margin integrity.

Global champions are separating from local demand

Globalization of brands is creating larger profit pools, though sustainable value creation depends on disciplined execution and localization capabilities.

As domestic markets mature and competition intensifies, overseas expansion is becoming one of the most important drivers of growth across APAC Consumer. Japanese leaders such as ASICS, Fast Retailing, Ryohin and Food Life are increasingly generating growth from overseas markets rather than domestic demand, while Korean beauty champions such as APR and Amorepacific continue to scale successfully across the US and Europe. We find that investors are increasingly rewarding companies that can export brands, concepts and intellectual property beyond their home markets, creating larger and more diversified profit pools. The opportunity is significant, but so is the execution risk. International expansion amplifies exposure to localization, channel management, inventory control, competitive intensity and partner selection. Chinese consumer brands are increasingly looking to ASEAN for growth, while Indian brands (e.g., Lenskart, Titan) are beginning to develop scalable international playbooks. In our view, the winners will not be those expanding into the most markets, but those able to replicate their domestic success abroad through strong brand equity, localized innovation and disciplined execution. Overseas growth is increasingly becoming a differentiator, but repeatability matters more than reach.

External volatility is a risk

Companies with diversified growth drivers, operational agility and strong execution are best positioned to navigate the external volatility.

While underlying consumption trends remain broadly stable, external shocks are widening the range of outcomes across APAC. Geopolitics and commodity markets add a layer of uncertainty. El Niño, commodity inflation and weather-related disruptions are emerging as key watchpoints in ASEAN and India. Meanwhile, inflation, tourism flows and competitive intensity remain important swing factors across Japan, Korea and Southeast Asia. Across markets, increasingly fragmented consumer behavior means external shocks can translate into wider earnings dispersion than in previous cycles. We conclude that the downside risk is not necessarily weaker consumption, but greater unpredictability. In this environment, we favor companies with strong brands, pricing flexibility, diversified growth drivers and agile operating models that can absorb volatility.

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Table 9: Consumer Discretionary Top Picks: Investment Rationale

Company	Ticker	Mkt Cap (USD Bn)	Rating	Current Price	Target Price	Investment Rationale
China						
Midea	000333 CH	99	OW	87	105	Rerating potential on the back of improving execution of B2B; Strong shareholder returns (~20% FY26E ROE) and healthy dividend + buyback yield offers growth & optionality
Anta	2020 HK	28	OW	78	130	Relatively high visibility on guidance delivery and continued market share gains in 2026 aided by superior execution, resilient multi-brand portfolio, and greater overseas growth potential
Luckin	LKNCY US	11	OW	37	46	Market-share gainer with sustained earnings upgrades driven by digital capabilities, store expansion and product innovation.
India						
Titan	TTAN IN	47	OW	5,050	5,650	Structural jewellery formalization beneficiary with sustained growth supported by exchange-led demand generation, premiumization and store expansion.
Lenskart	LENSKART IN	12	OW	664	665	Category creator with a long growth runway driven by market-share gains, premiumization and a technology-led retail model.
Pidilite	PIDI IN	18	OW	1,644	1,820	Well-diversified portfolio play with healthy Core growth and accelerating Growth/Pioneer momentum, driven by real estate demand, distribution expansion, and higher innovation.
LG Electronics	LGEL IN	12	OW	1,666	1,885	Best-in-class execution, category leadership, and a diversified growth engine (B2B, exports) should drive sustained market share gains and superior growth.
Japan						
Fast Retailing	9983 JP	142	OW	71,260	94,000	Strong global LifeWear-led growth, high capital efficiency and management execution support earnings upside; undervalued shares lag retail peers currently materially.
Asics	7936 JP	20	OW	4,371	6,100	Global running leader with sustained earnings upgrades driven by profitability expansion, brand strength and continued market-share gains.
Ryohin Keikaku	7453 JP	15	OW	4,350	5,700	Long-term profit compounder supported by store expansion, improving capital efficiency and attractive valuation.
Korea						
Shinsegae	004170 KS	3	OW	426,000	840,000	Prime retail positioning and healthy domestic/tourist demand underpin superior growth, while duty-free exit and subsidiary recovery provide earnings upside optionality.
ASEAN						
DIY Thailand	MRDIYT TB	2	OW	9	11	Strong network expansion runway and ~16% FY25–FY28 store CAGR, plus trade-down tailwinds and scale procurement (~6,000 stores, 14 countries), support price-led share gains..
MAPA	MAPA IJ	1	OW	710	845	Premium discretionary retailer delivering industry-leading growth (Revenue/ PAT ~14% CAGR over CY25-28E) driven by strong brand partnerships and resilient affluent demand.
Australia						
JB Hi-Fi	JBH AU	5	OW	67	83	Beneficiary of the AI-driven replacement cycle, higher tech ASPs and potential tariff-related supplier rebates and attractive valuation

Source: J.P. Morgan, Bloomberg Finance L.P. Priced as of 1st Sep'26.

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Table 10: Consumer Staples Top Picks: Investment Rationale

Company		Mkt Cap (USD Bn)	Rating	Current Price	Target Price	Investment Rationale
China						
Nongfu	9633 HK	60	OW	42	56	Category-leading beverage franchise, strong execution and brand investment drive resilient growth, earnings compounding and sustained valuation support.
India						
Marico	MRCO IN	11	OW	838	960	Diversified growth vectors and favorable copra costs should drive share gains, margin expansion, and industry-leading volume growth
Tata Consumer	TATACONS IN	11	OW	1,031	1,340	A resilient tea and salt franchise, premiumization alongside fast-scaling growth businesses underpins to drive strong revenue/ earnings growth
Japan						
Rohto	4527 JP	4	OW	3,047	3,500	Dual skincare/OTC healthcare growth story; Asia expansion and R&D-led innovation support earnings; on track to exceed ¥54bn OP target by FY30.
Kao	4452 JP	20	OW	3,614	4,000	Cosmetics earnings recovery driven by innovation monetization, overseas consumer-care improvement and cleaning innovation, supporting top-line growth and re-rating potential..
Lion	4912 JP	3	OW	1,903	2,300	Next-generation healthcare platform with accelerating FY26 growth; oral-care leadership and structural reforms support earnings and margin expansion.
Unicharm	8113 JP	11	OW	988	1,150	Global Hygiene leader with resilient innovation and emerging market expansion; Asia weakness should bottom by FY26, enabling growth reacceleration as headwinds normalize.
Japan Tobacco	2914 JP	88	OW	7,050	8,000	Heated-tobacco share gains, pricing power and disciplined reinvestment create a virtuous cycle of market-share and earnings growth.
Kikkoman	2801 JP	11	OW	1,827	2,200	Global market leadership, overseas-driven growth and pricing power support sustained earnings expansion, improving ROE and valuation appeal.
Meiji	2269 JP	8	OW	4,544	4,700	Recovery in food and pharma earnings, China restructuring benefits and new product contributions support sustained profit growth through FY2028.
Korea						
APR	278470 KS	12	OW	430,500	560,000	Beauty growth leader with strong product-hit ratio, rising brand loyalty and accelerating earnings from geographic / channel diversification.
BGF Retail	282330 KS	2	OW	147,600	180,000	Tourism-led SSSG recovery, improving product mix, and market consolidation support sustained earnings growth.
ASEAN						
99SMRT	99SMART MK	7	OW	3	4	Value retail winner benefiting from consumer downtrading, supported by price leadership (6-9% vs peers), store expansion and operating leverage.
INDF	INDF IJ	4	OW	7,200	8,450	Commodity tailwinds from elevated CPO and flour-price hikes support margin expansion; attractive risk-reward at ~5x FY27E and ~6% dividend yield.
CP All Plc	CPALL TB	12	OW	46	62	Convenience retail leader with earnings acceleration driven by CVS recovery, resilient B2B growth and normalization of integration-related headwinds.
Farm Fresh Berhad	FFB MK	1	OW	2	2	Premium dairy positioning at reasonable prices, market share gains and underappreciated regional expansion offer sustained growth and valuation upside.
Masan Group	MSN VN	4	OW	70,200	100,200	Market Share Leader/gainer in modern retail, rapidly growing channel in Vietnam.
CNPF	CNPF PM	2	OW	32	36	Superior growth (vs peers and market), pricing power, resilient demand and portfolio diversification support sustained double-digit earnings growth despite industry margin pressures.
Australia						
Sigma Healthcare	SIG AU	22	OW	3	3	Market-leading pharmacy retailer delivering double-digit growth, supported by Chemist Warehouse's scale, value leadership, synergy realization and capital-light business model.

Source: J.P. Morgan, Bloomberg Finance L.P. Priced as of 1st Sep'26.

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Valuation Trends

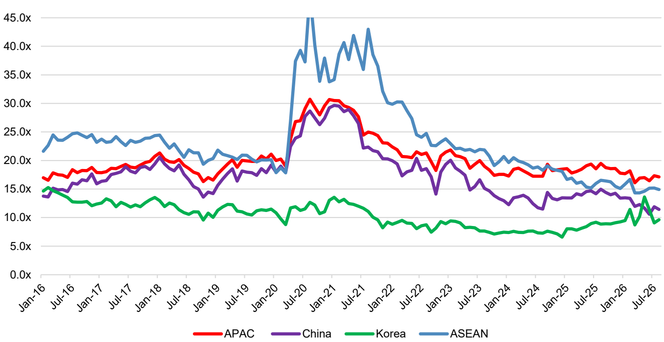
Figure 2: APAC Consumer – China and ASEAN have witnessed sharp de-rating; Staples has de-rated more than Discretionary

1yr fwd P/E

	Current P/E	% deviation			
		1 yr avg	3yr avg	5yr avg	10yr avg
Discretionary					
APAC	17.1x	-2%	-5%	-11%	-16%
China	11.4x	-10%	-14%	-25%	-35%
India	54.4x	2%	-11%	-12%	-5%
Japan	32.6x	5%	4%	2%	3%
Korea	9.6x	-3%	14%	12%	-5%
ASEAN	14.9x	-3%	-14%	-28%	-37%
Australia	25.9x	5%	7%	10%	18%
Staples					
APAC	18.8x	-3%	-7%	-16%	-21%
China	16.0x	-7%	-11%	-26%	-33%
India	38.9x	-2%	-7%	-6%	-1%
Japan	20.0x	0%	-2%	-3%	-6%
Korea	14.6x	0%	9%	11%	-4%
ASEAN	13.0x	-1%	-11%	-20%	-35%
Australia	24.6x	7%	12%	9%	11%

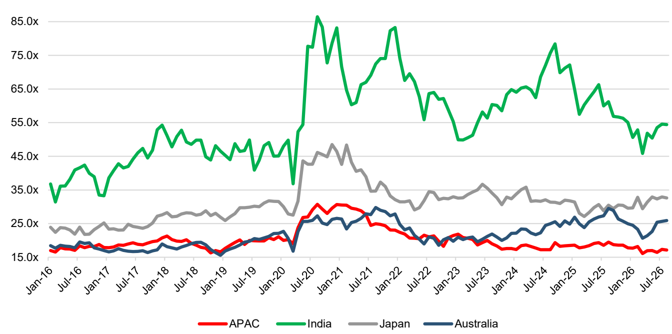
Source: Bloomberg Finance L.P. As of 31st Aug'26.

Figure 3: APAC Consumer Discretionary – 1y fwd P/E trends (China, Korea, ASEAN)



Source: Bloomberg Finance L.P.

Figure 4: APAC Consumer Discretionary – 1y fwd P/E trends (India, Japan, Australia)



Source: Bloomberg Finance L.P.

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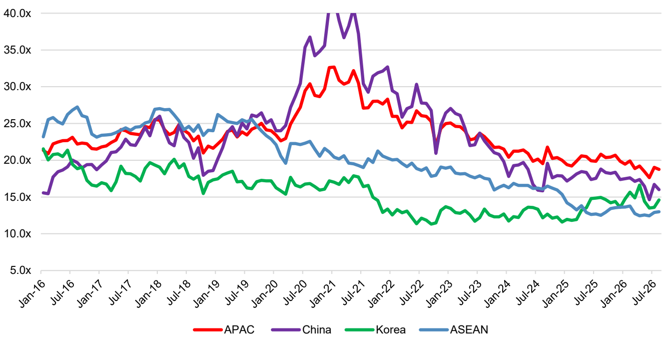
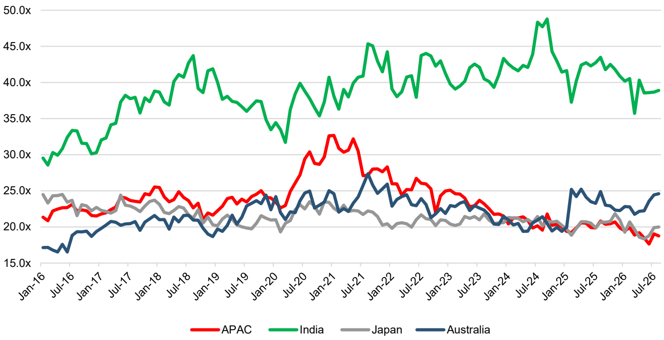
Figure 5: APAC Consumer Staples – 1y fwd P/E trends (China, Korea, ASEAN)



Source: Bloomberg Finance L.P.

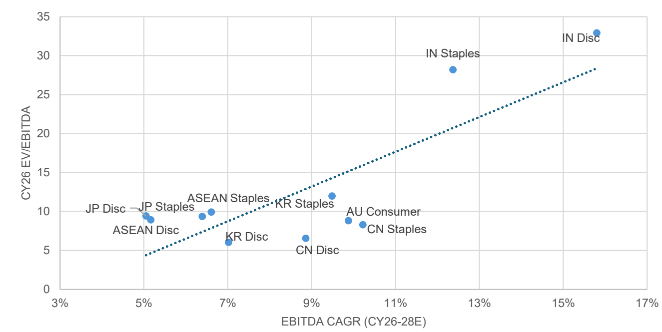
Figure 6: APAC Consumer Staples – 1y fwd P/E trends (India, Japan, Australia)



Source: Bloomberg Finance L.P.

Figure 7: APAC Consumer – EV/EBITDA vs EBITDA CAGR

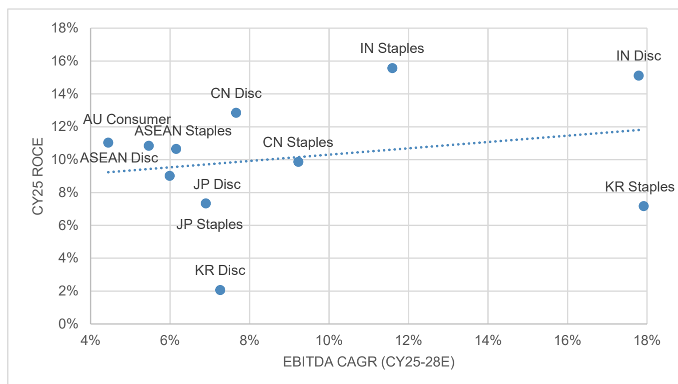
%



Note: EBITDA CAGR based on JPMe.
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 8: APAC Consumer – ROCE vs EBITDA CAGR

%



Note: EBITDA CAGR based on JPMe.
Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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China Consumer

Weak confidence, downtrading and intense competition remain the defining dynamics for the China Consumer sector, and demand is weak everywhere. Not in pockets, but across F&B, dining out, travel, appliances & durables, jewelry, sportswear & apparel. Meanwhile input costs are rising: the CPI-PPI spread widened to -3% in June and July, and price wars mean almost nobody can pass costs through. July retail sales disappointed again at only +0.6% y/y despite easier comps, barely improving from 0.2% in 2Q26. Cheap valuations are not the question; the question is which companies'earnings survive a market where volume is soft and price is a weapon.

We are thus cautious on China Consumer, and we only selectively favor category leaders and turnaround names with resilient earnings, shareholder returns or overseas growth. We highlight four names in our coverage for company-specific reasons rather than a category view. **Nongfu** is a classic compounder, with strong brand and execution to defend margins where competitors cannot, delivering solid double-digit growth that we expect to continue for years to come. **Midea** offers strong cash returns and earnings that hold up better than domestic demand would suggest, on growing overseas and B2B exposure, with execution and management quality among the best in our China coverage. **Luckin** is a self-help story recovering from the "price war" drag. We like **Anta** for its superior execution, resilient multi-brand portfolio, and greater overseas growth potential.

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Table 11: China Consumer Discretionary scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Specialty Retail								
Pop Mart - H	UW	◕	◕	◑	◕	◕	◑	●
CTG Duty-Free - A	OW	◔	◔	◔	◕	◕	◑	◑
Miniso - H	OW	●	◔	◕	◕	◕	◕	◔
Miniso - ADR	OW	●	◔	◕	◕	◕	◕	◔
Apparel								
Bosideng	OW	◔	◑	◕	◕	◕	◔	◕
HLA Corp - A	OW	◔	◔	◑	◔	◕	◔	◕
Semir - A	OW	◔	◔	◑	◔	◑	◔	◕
Peacebird - A	N	○	◔	◔	◔	◔	◔	◕
Food Retail								
Yum China Holdings Inc	OW	◔	◔	●	○	◕	◔	●
Mixue Group - H	UW	◔	◔	◕	○	◕	◑	◕
Luckin Coffee	OW	●	◔	◑	○	◕	◔	◕
Guming - H	OW	●	◔	◕	○	◕	◔	●
Chagee	OW	◑	◔	◑	○	◕	◑	◕
Home Appliances								
Midea Group-A	OW	◔	◔	●	◕	◕	●	●
Gree Electric-A	N	○	◔	◕	◕	◔	◑	◔
Haier Smart H-H	OW	◔	◔	◑	◕	◕	●	◕
Haier Smart H-A	OW	◔	◔	◑	◕	◕	●	◕
Arashi Vision -A	N	●	◔	◔	◕	◕	●	◔
Zheijiang Supor-A	N	○	◑	◑	◑	◕	◕	◕
Ecovacs Robotics-A	UW	◕	◔	◔	◕	◔	●	◔
Hangzhou Robam Appliances-	N	○	◔	◔	◕	◑	◔	◑
Jewellery								
Chow Tai Fook Jewellery	OW	◔	◑	◕	◕	◕	◑	◕
Laopu Gold - H	OW	●	◕	◑	◕	●	◑	◑
Lao Feng Xiang - A	UW	○	◔	◑	◕	◔	◔	◑
Sportwear								
Anta Sports	OW	◔	◑	◕	◕	◕	◔	◕
Li Ning	N	◔	◔	◕	◕	◕	◔	◕
Xtep International	OW	○	◔	◕	◕	◑	◔	◕

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Table 12: China Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	COGS Inflation exposure	Innovation/ Premiumization	Channel execution	Competitive landscape	Market share	Overseas business	Capital allocation prudence
HPC										
Mao Geping - H	OW	●	◕	●	●	●	◔	●	◔	◕
Proya	OW	◔	◑	●	◕	●	○	◕	◔	◕
Chicmax	OW	◔	◑	●	◕	●	○	◕	◔	◕
Botanee	OW	◔	◑	●	◑	●	○	◑	◔	◕
Shanghai Jahwa	UW	◑	◑	●	◑	●	○	◑	◑	◑
Marubi	N	●	◑	●	◑	●	○	◑	◔	◕
Foods & Beverage										
Nongfu Spring - H	OW	◕	◕	◕	●	○	○	◕	◔	●
Haitian	OW	○	◕	◕	◔	◔	◑	◕	◔	◕
Yili - A	OW	○	◑	◑	◑	○	◕	◑	◔	◕
Eastroc Beverage - H	UW	◕	◑	◕	◔	○	○	◕	◔	◕
Eastroc Beverage - A	UW	◕	◑	◕	◔	○	○	◕	◔	◕
WH Group	OW	○	◕	○	○	○	◑	◑	●	◕
Mengniu	OW	○	◑	◑	◑	○	◕	◑	◔	◔
Feihe	OW	○	◑	◕	◑	◕	◑	◑	◔	◔
CR Beverage - H	N	○	◑	◕	◔	◔	○	◔	◔	◔
Alcobev										
Kweichow Moutai Co - A	N	○	●	●	●	◔	◕	◕	◔	●
Wuliangye - A	UW	○	◑	●	◔	◑	◕	◔	◔	◕
Luzhou Laojiao - A	N	○	◑	●	◔	◔	◕	◑	◔	◕
Budweiser Asia Pacific	N	○	◑	◕	◔	◔	◕	○	◕	◕
China Resources Beer (0291)	OW	○	◑	◕	◔	◔	◕	◕	◔	◕
Tsingtao Brewery - H	OW	○	◑	◕	◑	○	◕	◕	◔	◑
Tsingtao Brewery - A	N	○	◑	◕	◑	○	◕	◕	◔	◑
Yanghe - A	UW	○	◑	●	◑	○	◕	○	◔	◑

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Discretionary

Home Appliances is our preferred exposure within discretionary, with Midea (OW) a preferred pick for quality. We also like select names in Food Services, albeit primarily with the self-help stories such as Luckin (OW; continued expansion, product cadence and margin outperformance) where growth comes from execution rather than from a recovery in spending. In other discretionary spaces, such as sportswear/apparel and gold & jewelry, we sit on the sideline: the structural share-gain case is intact, but demand risk is high and seemingly hopeful market expectations leave room for disappointment. This includes Laopu, which investors seem to treat as a gold-price trade rather than a luxury growth story.

Staples

Nongfu (OW) is our top pick, owned for brand strength and execution rather than for category beta. We are cautious on the rest of the category, where pricing power is thinner and competitive intensity higher. We are cautious on alcoholic beverages, with volume pressure and downtrading persisting; Moutai is the exception in franchise quality, although we stay Neutral given relatively full valuation. We're cautious on HPC (incl. cosmetics), on intense competition and returning international brands.

Table 13: China Consumer: Key Stock Picks

Sub-sector	Stance	Preferred Names	Key Rationale
Appliances	Positive	Midea	Rerating potential on the back of improving execution of B2B; Strong shareholder returns (~20% FY26E ROE) and healthy dividend + buyback yield offers growth & optionality
Food Services	Neutral	Luckin	Share-led growth, digital strength, product innovation, rapid expansion and margin outperformance
Foods & Beverage	Positive	Nongfu	Category-leading beverage franchise, strong execution and brand investment drive resilient growth, earnings compounding and sustained valuation support.
Fashion/ Sportswear	Neutral	Anta	Superior execution, resilient multi-brand portfolio, and greater overseas growth potential

Source: J.P. Morgan.

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Table 14: China Consumer Discretionary – Valuation Comps, EPS revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	CNY/HKD	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Specialty Retail															
Pop Mart - H	9992 HK	155	26.4	UW	15	12	10	9	3%	0%	78%	-17%	-31%	-54%	-62%
CTG Duty-Free - A	601888 CH	54	16.3	OW	23	20	13	12	13%	25%	7%	-7%	-6%	-22%	-34%
Miniso - H	9896 HK	19	2.9	OW	8	7	5	5	16%	9%	12%	-15%	-22%	-54%	-54%
Miniso - ADR	MNSO US	10	2.9	OW	8	7	5	5	16%	9%	12%	-15%	-22%	-58%	-65%
Apparel															
Bosideng	3998 HK	4	6.4	OW	10	9	5	4	6%	8%	23%	3%	-2%	-19%	-26%
HLA Corp - A	600398 CH	6	4.2	OW	13	12	6	6	7%	9%	12%	-5%	-12%	13%	9%
Semir - A	002563 CH	6	2.4	OW	15	13	7	6	6%	13%	8%	5%	-7%	20%	6%
Peacebird - A	603877 CH	13	0.9	N	26	21	6	6	3%	19%	4%	-9%	-36%	56%	42%
Food Retail															
Yum China	YUMC US	45	15.4	OW	15	13	8	7	8%	16%	17%	2%	2%	-31%	-38%
Mixue - H	2097 HK	209	10.1	UW	12	11	7	7	6%	0%	30%	-12%	-16%	-50%	-50%
Luckin Coffee	LKNCY US	37	10.5	OW	17	15	7	6	15%	20%	24%	-3%	4%	-72%	-80%
Guming - H	1364 HK	26	7.7	OW	16	13	13	11	15%	15%	79%	-1%	18%	-31%	-31%
Chagee	CHA US	12	2.3	OW	9	8	3	3	9%	0%	23%	2%	-15%	-18%	-18%
Home Appliances															
Midea -A	000333 CH	87	99.0	OW	14	13	12	11	6%	9%	20%	0%	-2%	7%	-4%
Gree Electric-A	000651 CH	39	32.1	N	8	7	4	3	0%	1%	20%	-6%	-9%	2%	-21%
Haier Smart H-H	6690 HK	21	28.0	OW	9	8	7	6	4%	8%	17%	-5%	-16%	-29%	-34%
Haier Smart H-A	600690 CH	21	28.0	OW	10	9	6	6	4%	8%	17%	-5%	-15%	-23%	-27%
Arashi Vision -A	688775 CH	117	7.0	N	51	28	56	27	46%	64%	21%	-28%	-45%	-37%	-37%
Zheijiang Supor-A	002032 CH	40	4.8	N	15	14	12	11	2%	4%	33%	-4%	-7%	-16%	-29%
Ecovacs Robotics-A	603486 CH	53	4.6	UW	15	13	10	9	12%	6%	22%	-1%	-5%	-24%	-44%
Hangzhou Robam -A	002508 CH	16	2.2	N	12	11	6	5	2%	5%	11%	-12%	-26%	-8%	-27%
Jewelry															
Chow Tai Fook	1929 HK	13	16.1	OW	12	11	9	9	4%	12%	31%	7%	7%	-22%	-29%
Laopu Gold - H	6181 HK	388	8.7	OW	8	8	7	6	12%	19%	65%	-17%	1%	-66%	-66%
Lao Feng Xiang - A	600612 CH	33	2.1	UW	11	11	4	3	4%	5%	14%	-7%	-17%	-9%	-20%
Sportwear															
Anta Sports	2020 HK	78	27.9	OW	13	12	7	7	9%	11%	21%	4%	6%	-41%	-47%
Li Ning	2331 HK	13	4.4	N	12	11	4	4	5%	5%	11%	-19%	-14%	-46%	-56%
Xtep	1368 HK	4	1.3	OW	8	7	4	3	5%	6%	15%	-6%	-23%	-52%	-49%
Textile															
Shenzhou	2313 HK	37	7.0	OW	9	8	5	4	5%	2%	16%	-16%	-29%	-49%	-57%
Luolai Lifestyle - A	002293 CH	12	1.4	N	16	14	11	10	6%	13%	12%	3%	4%	17%	2%
Luthai Textile - A	000726 CH	6	0.7	N	10	9			1%	2%	6%	-5%	-13%	4%	-5%
Best Pacific	2111 HK	3	0.3	OW	5	4	3	3	9%	13%	15%	-4%	-13%	-2%	-35%

Note: CNY/HKD currency for CH/HK tickers.
Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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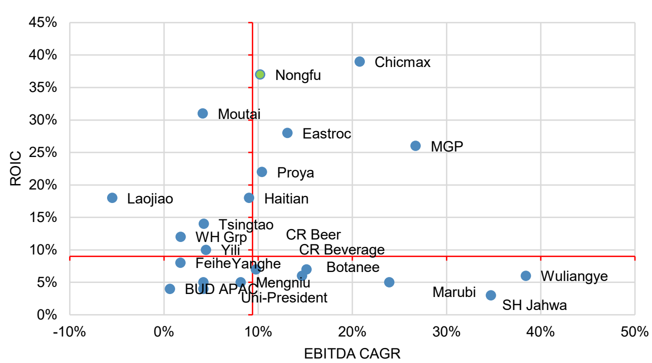
Table 15: China Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	CNY/HKD	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
HPC															
Mao Geping - H	1318 HK	50	3.1	OW	14	11	8	7	26%	27%	29%	-2%	-2%	-56%	-56%
Proya	603605 CH	63	3.7	OW	14	14	10	9	9%	11%	26%	8%	0%	-58%	-63%
Chicmax	2145 HK	22	1.2	OW	8	6	7	5	17%	18%	44%	-25%	-29%	-72%	-72%
Botanee	300957 CH	33	2.1	OW	22	19	11	10	6%	16%	8%	1%	5%	-43%	-51%
Jahwa	600315 CH	18	1.8	UW	30	24	16	13	10%	21%	4%	6%	-12%	-9%	-25%
Marubi	603983 CH	29	1.7	N	36	29	28	23	16%	32%	7%	-4%	-32%	-5%	-12%
Foods and Beverage															
Nongfu - H	9633 HK	42	59.6	OW	22	20	14	12	11%	9%	44%	1%	4%	-42%	-48%
Haitian	603288 CH	34	29.2	OW	26	23	17	16	7%	9%	19%	-2%	-2%	-31%	-39%
Yili - A	600887 CH	27	24.9	OW	15	13	12	11	4%	8%	21%	-12%	-10%	-25%	-38%
Eastroc - A	605499 CH	123	13.2	UW	17	15	10	9	12%	9%	52%	-10%	-14%	-50%	-52%
WH Group	288 HK	8	12.3	OW	8	8	5	5	3%	3%	14%	-4%	-1%	14%	-8%
Mengniu	2319 HK	18	8.9	OW	12	11	7	7	3%	12%	4%	0%	-6%	-21%	-39%
Feihe	6186 HK	3	3.2	OW	10	10	4	4	2%	0%	8%	-12%	-30%	11%	-14%
CR Beverage - H	2460 HK	7	2.3	N	17	14	5	5	7%	13%	9%	-19%	-34%	-6%	-6%
Uni-President	1216 TT	76	13.7	OW	19	17	8	8	5%	4%	14%	7%	-3%	-4%	-10%
Alcobev															
Moutai Co - A	600519 CH	1,300	241.7	N	19	18	14	13	4%	4%	34%	-1%	-11%	-27%	-32%
Wuliangye - A	000858 CH	72	41.5	UW	17	15	9	8	20%	33%	7%	-18%	-37%	-22%	-34%
Luzhou Laojiao - A	000568 CH	79	17.2	N	14	13	8	8	-4%	-5%	22%	-22%	-33%	-37%	-45%
Budweiser APAC	1876 HK	6	10.0	N	16	15	5	5	2%	10%	5%	-4%	-11%	-28%	-40%
CR Beer	291 HK	19	7.7	OW	9	9	5	4	2%	22%	11%	-5%	-8%	-51%	-65%
Tsingtao - H	168 HK	40	8.7	OW	10	10	5	5	2%	5%	15%	-4%	-6%	-36%	-51%
Tsingtao - A	600600 CH	51	8.7	N	15	14	5	5	2%	5%	15%	-4%	-6%	-45%	-53%
Yanghe - A	002304 CH	39	8.8	UW	25	21	11	9	-2%	13%	4%	-17%	-39%	16%	9%

Note: CNY/HKD currency for CH/HK tickers.
Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

Figure 9: China Consumer Staples – ROIC vs EBITDA CAGR

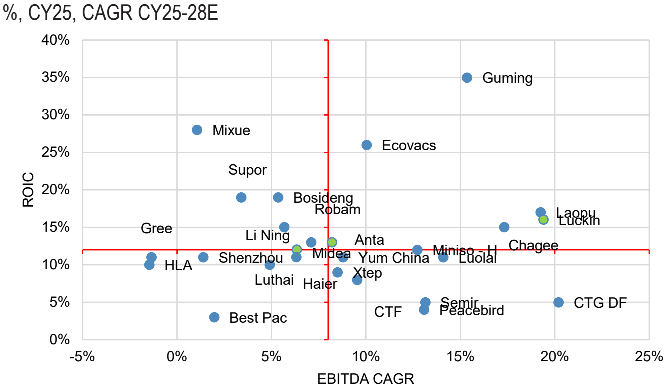
%, CY25, CAGR CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 10: China Consumer Discretionary – ROIC vs EBITDA CAGR

%, CY25, CAGR CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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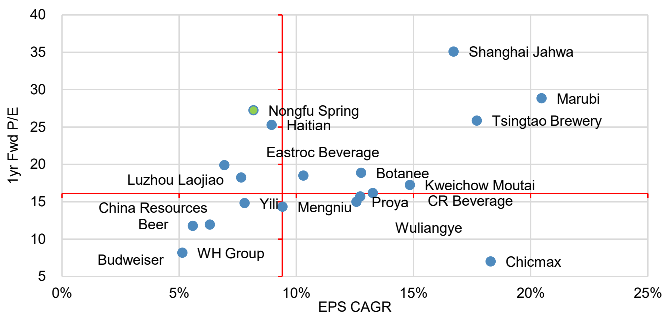
Figure 11: China Consumer Staples – P/E vs EPS CAGR

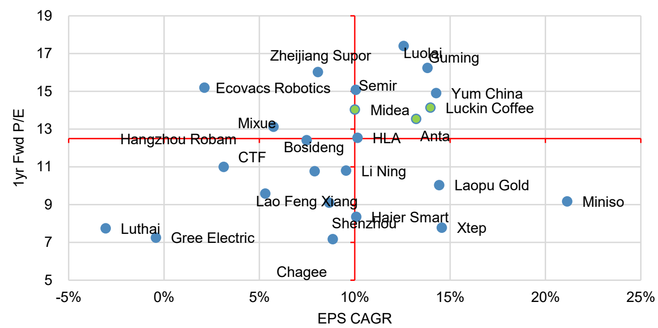
%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 12: China Consumer Discretionary – P/E vs EPS CAGR

%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 16: China Macro Dashboard

% y/y

China	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	0.5	-0.7	-0.1	-0.1	-0.1	0.1	0.0	-0.4	-0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0	0.5
Core CPI	0.6	-0.1	0.5	0.5	0.6	0.7	0.8	0.9	1.0	1.2	1.2	1.2	0.8	1.8	1.1	1.2	1.1	1.0	0.9
Retail sales	4.0	4.0	5.9	5.1	6.4	4.8	3.7	3.4	3.0	2.9	1.3	0.9		2.8	1.7	0.2	-0.6	1.0	0.6
Passenger vehicle sales	0.8	36.2	10.4	11.1	13.3	14.5	14.7	16.5	13.2	7.5	1.2	-8.7	-6.8	-15.4	-2.3	-4.2	-4.2	-5.3	
Air passenger traffic	13.2	-1.5	3.5	8.9	8.2	4.3	3.9	3.3	4.6	5.8	6.6	6.4	-2.9	11.0	12.1	0.4	-7.1	-6.5	3.9
Air passenger traffic (Domestic)	9.5	-3.5	1.5	7.2	6.5	2.8	2.7	2.2	3.5	4.4	5.1	6.1	-3.2	10.5	11.5	-0.2	-8.0	-7.0	4.1

Source: Bloomberg Finance L.P., J.P. Morgan.

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India Consumer

The India consumption landscape has entered a more favorable phase, with demand trends improving through 1HCY26 supported by income-tax relief, GST rationalization across select categories, and a stable monetary policy backdrop despite ongoing geopolitical uncertainties. While companies incrementally face input-cost pressures stemming from the Middle East conflict and concerns around monsoon variability, most have navigated the environment well so far through calibrated pricing actions, resilient supply chains, and a two-pronged strategy of driving premiumization while democratizing through accessible price points. Importantly, the structural drivers of Indian consumption remain firmly intact, underpinned by rising disposable incomes, resilient urban demand, improving rural trends, favorable demographics, rising urbanization and increasing discretionary spending. We continue to prefer discretionary names, underpinned by category formalization, retail expansion into smaller cities, and significant underpenetration versus global peers. Organized players are gaining share through stronger brands, superior customer experience, and omnichannel capabilities, with store expansion remaining a key growth lever. We believe category leaders with scalable distribution and strong consumer engagement are best positioned to sustain above-industry growth.

Table 17: India Consumer Discretionary scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Retail								
Titan	OW	◕	◕	◑	◑	◕	◑	◕
Lenskart	OW	●	◑	◕	◕	◕	◕	◕
Avenue Supermarts	N	◔	◑	◕	◑	◕	◔	◕
Vishal Mega Mart	OW	◑	◔	◑	◑	◕	◔	◑
Nykaa	N	●	◑	◑	◕	◕	◔	◑
QSR/ Restaurants								
Jubilant Foodworks	N	◔	◔	◔	◔	◑	○	◔
Devyani	OW	◔	◔	◔	◔	◑	◑	◔
Westlife Foodworld	OW	◔	◔	◔	◔	◑	◔	◑
Sapphire	OW	◔	◔	◔	◔	◑	◑	◑
Consumer Durables								
LG Electronics	OW	◔	◕	◑	◑	◕	◔	◕
Havells	N	◔	◑	◔	◑	◔	◔	◔
Crompton Consumer	N	○	◑	◔	◑	◑	◔	◔
Building Materials/ Paints								
Asian Paints	OW	◑	◕	◕	◑	◑	◑	◑
Pidilite	OW	◑	◕	◕	◕	◕	◑	◕

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

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Table 18: India Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	COGS Inflation exposure	Innovation/ Premiumization	Channel execution	Competitive landscape	Market share	Overseas business	Capital allocation prudence
HPC										
Hindustan Unilever	OW	◔	◕	◕	◕	◑	◑	◔	◔	◕
Godrej Consumer	OW	◑	◕	◕	◑	◑	◕	◑	○	◑
Marico	OW	◑	◕	◔	◕	◕	◕	◕	◕	●
Dabur	N	◔	◕	◕	◔	◔	◑	◔	◑	◔
Colgate India	N	◔	◕	◕	◑	◑	◑	◔	◔	◑
Honasa Consumer	UW	◑	◕	◕	◑	●	◔	◑	◔	◔
Foods & Beverage										
Nestle India	OW	◕	◕	◕	◕	◑	◕	◕	◔	◕
Varun Beverages	OW	◑	◑	◑	◑	◑	◑	◔	◑	◑
Britannia	N	◔	◑	◕	◑	◔	◑	◑	◑	◑
Tata Consumer	OW	◕	◕	◕	●	◕	◑	◕	◑	◑
AWL Agri Business	UW	◔	◑	○	○	◔	◑	◑	◔	◑
Orkla India	OW	○	◕	◑	◔	◑	◑	◔	◑	◑
Alcobev										
United Spirits	OW	◔	○	◑	◑	○	◕	◔	◔	◕
United Breweries	UW	○	○	◑	◔	○	◕	◔	◔	◑
Tobacco										
ITC	N	○	◕	◕	◑	○	◕	◑	◔	◕

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Discretionary

Jewelry demand has remained robust despite elevated gold prices, fewer wedding dates, and intermittent demand volatility. The category continues to benefit from rising formalization, increasing gold-exchange participation, and growing adoption of lightweight and everyday-wear jewelry. **TTAN** remains our preferred pick, backed by market leadership, strong brand equity, and a long runway for store expansion. We remain constructive on eyewear, where penetration (~35%) remains well below global levels despite a large addressable population with vision-related needs. Improving accessibility, rising awareness, and affordable offerings should drive sustained category growth. **LENSKART** is well positioned to capitalize through its integrated ecosystem, expanding retail footprint, and presence across price points, in our view. Within home improvement, resilient demand and industry pricing actions have helped offset input-cost pressures. We continue to favor **PIDI**, supported by consistent double-digit volume growth, strong execution in core categories, and increasing contribution from its Growth/Pioneer portfolio. In consumer durables, premiumization remains a key growth driver as consumers increasingly upgrade to feature-rich products. We like **LGEL**, given its leadership across premium categories, innovation-led portfolio, localization initiatives, and strong execution capabilities.

Staples

Within Staples, the sector continues to navigate raw-material volatility linked to geopolitical developments, although demand trends are gradually recovering, supported by measures to boost disposable incomes and benign inflation, despite ongoing raw material volatility. Encouragingly, companies are prioritizing volume growth and brand investments over near-term margin maximization, a strategy that should support market share gains and sustainable earnings growth. Premiumization, digital adoption, and portfolio diversification remain key structural growth drivers, while large incumbents continue to consolidate share through stronger brands, distribution reach, and supply-chain advantages. Our preference remains for companies that can defend their core franchises while simultaneously building higher-growth adjacencies, thereby improving category mix and creating multiple growth engines.

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Within Staples, we favor Food & Beverage over Home & Personal Care on account of a stronger growth trajectory, a superior innovation pipeline, and relatively lower competitive intensity from emerging digital-first brands. **TATACONS** remains one of our preferred ideas, supported by a resilient core portfolio and accelerating growth across newer businesses. We also like **MRCO**, where premiumization and portfolio diversification continue to drive industry-leading volume growth. NEST remains attractive for its long runway for penetration gains, premiumization opportunities, productivity-led margin expansion, and disciplined execution.

Overall, both Staples and Discretionary sectors have witnessed valuation derating over the past year. We view the current setup as increasingly favorable for high-quality category leaders with strong execution capabilities, market-share gain potential, and multiple growth levers.

Table 19: India Consumer: Key Stock Picks

Sub-sector	Stance	Preferred Names	Key Rationale
Specialty Retail (Jewelry/ Eyewear)	Positive	Titan	Formalization, store expansion, low karat/ lightweight jewelry to enhance purchase occasion, rising gold exchange participation
		Lenskart	Low category penetration, market expansion through eye tests and retail additions, strong omni channel execution
Home Improvement/ Durables	Positive/Neutral	Pidilite	Consistent DD volume growth, category leadership, Growth/Pioneer portfolio scaling
		LGEL	Beneficiary of premiumization, market leadership, localization and innovation-led growth
Food & Beverage	Positive	Tata Consumer	Stronger growth outlook, distribution expansion, premiumization and portfolio diversification
Home & Personal Care	Neutral	Marico	Resilient core portfolio and successful diversification through digital-first age brands

Source: J.P. Morgan.

Table 20: India Consumer Discretionary – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	INR	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Retail															
Titan	TTAN IN	5,050	47.3	OW	70	58	46	40	15%	20%	37%	6%	7%	-3%	8%
Lenskart	LENSKART IN	664	12.2	OW	131	94	48	37	22%	45%	6%	13%	23%	-11%	-11%
Nykaa	NYKAA IN	339	10.2	N	201	117	84	59	27%	89%	15%	5%	10%	-34%	-34%
Vishal Mega Mart	VMM IN	107	5.3	OW	50	39	23	19	16%	22%	12%	-1%	-4%	-29%	-29%
QSR/ Restaurants															
Jubilant Foodworks	JUBI IN	484	3.4	N	70	55	18	15	11%	12%	19%	4%	-17%	-12%	-3%
Devyani	DEVYANI IN	139	1.8	OW	347	131	20	17	12%	NM	-3%	-24%	-50%	NM	NM
Westlife Foodworld	WESTLIFE IN	554	0.9	OW	323	117	25	21	12%	-357%	5%	-2%	-34%	NM	NM
Sapphire	SAPPHIRE IN	230	0.8	OW	243	106	15	13	11%	NM	-2%	72%	-29%	NM	NM
Consumer Durables															
LG Electronics	LGEL IN	1,666	11.9	OW	50	42	34	28	12%	20%	25%	3%	-2%	10%	10%
Havells	HAVL IN	1,223	8.1	N	45	37	30	25	12%	9%	19%	-6%	-13%	-16%	-9%
Crompton Consumer	CROMPTON IN	231	1.6	N	25	21	15	13	10%	-17%	14%	-3%	-4%	-25%	-28%
Building Materials/ Paints															
Asian Paints	APNT IN	2,576	26.0	OW	47	43	32	29	11%	13%	21%	6%	7%	-16%	-12%
Pidilite	PIDI IN	1,644	17.6	OW	59	52	41	36	12%	13%	24%	6%	5%	1%	39%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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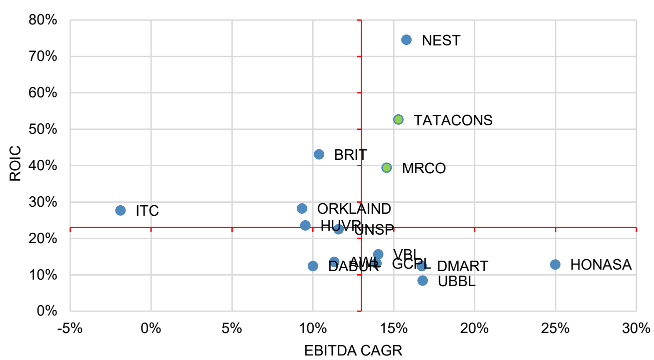
Table 21: India Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	INR	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
HPC															
Hindustan Unilever	HUVR IN	1,995	49.4	OW	41	38	29	26	9%	8%	31%	0%	-2%	-19%	-18%
Godrej Consumer	GCPL IN	905	9.8	OW	39	33	26	23	11%	16%	15%	-1%	-7%	-20%	-13%
Marico	MRCO IN	838	11.5	OW	49	43	38	33	10%	16%	43%	4%	4%	6%	12%
Dabur	DABUR IN	384	7.2	N	32	29	24	22	9%	10%	17%	1%	-2%	-27%	-25%
Colgate India	CLGT IN	1,860	5.3	N	35	32	25	22	8%	8%	82%	-1%	-1%	-16%	-14%
Honasa Consumer	HONASA IN	474	1.6	UW	54	44	43	35	15%	21%	15%	17%	30%	-19%	-19%
Foods															
Nestle India	NEST IN	1,438	29.2	OW	70	62	44	40	13%	17%	76%	2%	9%	0%	11%
Varun Beverages	VBL IN	406	14.5	OW	40	35	23	21	14%	12%	17%	-3%	-2%	-22%	-13%
Britannia	BRIT IN	5,187	13.2	N	46	40	32	28	10%	10%	54%	-1%	-6%	-5%	-2%
Tata Consumer	TATACONS IN	1,031	10.7	OW	52	43	31	27	12%	20%	7%	-2%	-5%	-10%	15%
AWL Agri Business	AWL IN	194	2.7	UW	20	18	10	9	9%	8%	10%	7%	1%	-57%	-57%
Orkla India	ORKLAIND IN	585	0.8	OW	24	21	16	15	8%	10%	11%	0%	0%	na	na
Alcobev															
United Spirits	UNITDSPR IN	1,470	11.3	OW	55	49	40	35	11%	9%	22%	0%	-4%	-1%	4%
United Breweries	UBBL IN	1,309	3.6	UW	77	50	38	28	9%	23%	9%	-15%	-34%	6%	10%
Tobacco															
ITC	ITC IN	267	35.2	N	18	16	13	12	4%	-3%	29%	-10%	-12%	-18%	-18%
Grocery retail															
DMART	DMART IN	3,824	26.3	N	70	59	41	34	3%	7%	24%	-4%	-3%	-18%	-17%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

Figure 13: India Consumer Staples – ROIC vs EBITDA CAGR

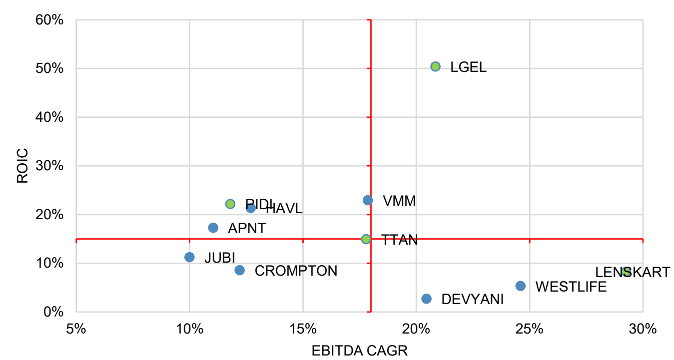
%, CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 14: India Consumer Discretionary – ROIC vs EBITDA CAGR

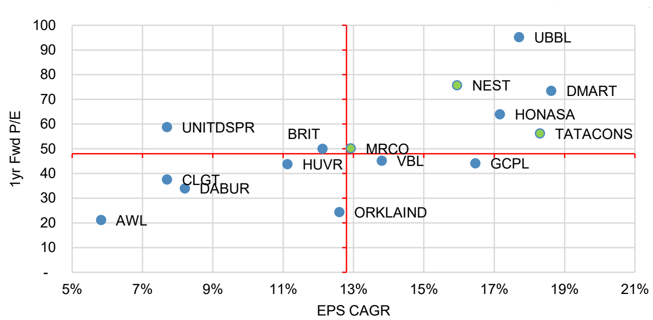
%, CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 15: India Consumer Staples –P/E vs EPS CAGR

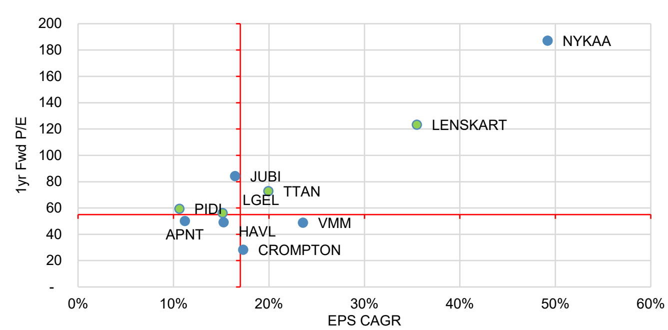
%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 16: India Consumer Discretionary – P/E vs EPS CAGR

%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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Table 22: India Macro Dashboard

% y/y

India	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	4.1	3.5	3.6	3.3	3.0	2.3	1.6	2.0	1.4	0.0	0.5	1.2	2.7	3.2	3.4	3.5	3.9	4.4	4.5
Core CPI	3.8	4.1	4.2	4.2	4.3	4.5	4.2	4.2	4.4	4.5	4.4	4.7	3.4	3.4	3.4	3.4	3.8	4.2	4.2
GST Collections	12.3	9.1	9.9	12.6	16.4	6.2	7.5	6.9	10.0	7.6	0.7	6.1	6.2	8.1	8.8	8.7	3.2	13.9	15.4
Domestic Passenger vehicle sales	2.3	2.2	3.8	5.5	0.3	-8.4	1.0	-7.5	5.5	18.2	19.8	27.8	12.6	10.7	16.1	24.2	26.5	24.7	34.3
Domestic two wheeler vehicle sales	2.1	-9.0	11.4	-16.7	1.9	-3.3	8.4	7.1	6.7	2.1	21.2	39.4	26.2	35.2	19.3	28.4	15.2	18.7	22.6
Air passenger traffic (Domestic)	11.3	11.0	8.8	8.5	1.9	3.0	-2.9	-1.4	-2.9	2.7	6.9	-4.1	4.4	0.2	-0.9	-3.5	9.5	-1.0	

Source: Bloomberg Finance L.P., J.P. Morgan.

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Japan Consumer

Japan remains one of the brightest spots in APAC Consumer, in our view. Earnings upgrades have consistently outpaced downgrades, making estimate delivery the most dependable in our coverage. Reflation and real wage growth/recovery are restoring pricing power, global champions across sportswear, apparel and lifestyle retail are scaling overseas profit pools, and management teams are increasingly focused on buybacks, dividends and return discipline. We favor discretionary leaders with global growth, premium brands and self-help catalysts, alongside staples names where pricing is finally catching up with costs. With the market trading near its own historical multiples, we believe the quality, visibility and improving shareholder returns justify the premium

The Cabinet-approved food consumption tax cut could also generate a meaningful near-term upside risks. Lower food taxes should support consumption, sustain demand and ease downtrading pressures in staples, while the associated income-transfer effect is likely to provide a broader boost to discretionary spending over the following quarters.

Figure 17: Japan Consumer Discretionary scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Apparel/ Footwear Retail								
Fast Retailing	OW	◑	●	◔	◔	●	●	◕
Zozo	N	○	○	●	◕	◑	◑	◔
Shimamura	N	○	◑	◑	◔	◑	◔	◑
ABC-Mart	OW	○	◔	◔	◔	◑	◑	◔
and ST HD	N	○	○	◔	◔	◑	◔	◑
United Arrows	N	◔	◕	◔	◔	◑	◔	◑
ASICS	OW	◑	◕	◔	◑	◕	●	◑
Broadline Retail								
Pan Pacific International Holdi	OW	○	◑	◑	◑	◕	◑	◕
Ryohin Keikaku	OW	◔	●	◔	◔	●	●	◕
Isetan Mitsukoshi Holdings	OW	○	◕	●	●	◕	◔	◕
ASKUL	UW	●	◔	◕	◑	◔	◔	◑
Consumer Staples Retail								
Aeon	UW	○	◑	◔	◕	◑	◑	◔
TRIAL Holdings	OW	○	◑	◕	◕	●	◔	◑
Kusuri No Aoki Holdings	N	○	◑	◑	◑	◕	◔	◑
Seven &i Holdings	N	○	◑	◕	◑	◑	●	◑
Kobe Bussan	N		●	◕	◑	◕	◔	◑
Computer & Electronics Retail								
Yamada Holdings	N		◑	◑	◑	◑	◔	◔
K's Holdings	N		◑	◑	◑	◑	◔	◑
Drug Retail								
Tsuruha Holdings	OW		◑	◔	◑	◕	◔	◑
MatsukiyoCocokara &Co.	OW		◑	◔	◑	◑	◔	◑
Sugi Holdings	OW		◑	◔	◑	◕	◔	◑
Cosmos Pharmaceutical	N		◑	◑	◑	◑	◔	◔
Sundrug	N		◑	◑	◑	◑	◔	◑
QSR/ Restaurants								
Zensho Holdings	OW	◑	◑	◔	◑	◕	◕	◑
FOOD & LIFE COMPANIES	OW	◕	◑	◔	●	◕	◕	◑
Skylark Holdings	N	◔	◑	◔	◔	◑	◔	◑
Saizeriya	OW	●	○	◔	◔	●	◑	◑

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

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Table 23: Japan Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	COGS Inflation exposure	Innovation/ Premiumization	Channel execution	Competitive landscape	Market share	Overseas business	Capital allocation prudence
HPC										
Kao	OW	○	◕	◔	●	◑	●	◕	◑	◕
Unicharm	OW	◔	◕	◔	●	◕	◕	◑	●	◕
Shiseido	N	○	◕	◑	●	●	◔	◔	◕	◑
Rohto Pharmaceutical	OW	◔	◕	◑	◕	○	◔	◕	●	◑
Lion	OW	○	◕	◔	●	◔	◕	◑	◕	◕
KOSE Holdings	UW	○	◕	◑	◑	◕	◔	◔	◑	◑
Pola Orbis Holdings	UW	○	◕	◑	◕	●	◔	◔	◔	◑
Pigeon	N	○	◕	◑	◑	●	◕	◕	●	◑
Foods										
Ajinomoto	OW	●	●	◑	●	○	◑	◑	●	●
Kikkoman	OW	●	●	◑	◕	○	◑	◑	●	◑
Suntory Beverage & Food	N	●	◑	◑	◑	○	◑	◑	●	◑
Toyo Suisan Kaisha	OW	◕	●	◑	◑	○	◑	◑	◕	◑
Meiji Holdings	OW	◔	●	◑	◕	○	◑	◑	◔	◑
Yakult Honsha	UW	◕	●	●	◑	○	◑	◑	◕	◑
Nissin Foods Holdings	N	◕	●	◑	◕	○	◑	◑	◕	◑
Yamazaki Baking	N	◔	●	◑	◑	○	◑	◑	◔	○
NH Foods	N	○	◑	◔	◑	○	◑	◑	○	◑
Kewpie	OW	◕	●	◑	◕	○	◑	◕	◕	◑
Nisshin Seifun Group	N	◑	●	◑	◑	○	◑	◑	◑	◑
Coca-Cola Bottlers Japan Holdings	OW	◔	●	◑	◕	◔	◑	◑	◔	◑
Nichirei Corporation	N	◑	●	◔	◕	○	◑	◕	◑	◑
Morinaga Milk Industry	OW	○	◑	◑	◑	○	◑	◑	○	◑
Calbee	UW	◑	●	◑	◕	○	◑	◑	◑	◑
Itoham Yonekyu Holdings	N	○	◑	◔	◑	○	◑	◑	○	◑
Fuji Oil	OW	○	●	◔	◑	○	◑	◑	○	◑
Morinaga & Co	N	◔	◑	◑	◑	○	◑	◑	◔	◑
Prima Meat Packers	N	●	◑	◔	◑	○	◑	◕	●	◑
Alcobev										
Asahi Group Holdings	N	○	●	◑	◕	○	◑	◑	●	◕
Kirin Holdings	N	○	●	◕	◕	○	◑	◑	◑	◑
Tobacco										
Japan Tobacco	OW	○	●	◕	◕	◕	●	◕	●	●

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Discretionary

Domestic demand remains stable rather than accelerating, with growth increasingly driven by share gains, overseas expansion and consolidation rather than a broad consumption upcycle. We continue to favor globally exposed compounders such as Fast Retailing, ASICS and Ryohin Keikaku, where overseas growth, market-share gains and strong capital efficiency underpin earnings. In contrast, most domestically focused retailers remain tied to Japan's structurally low consumption growth and demographic headwinds. We prefer high-quality global franchises and selective sports/fashion retail names, while staying cautious on domestic retail and electronics retail.

Staples

The near-term challenge remains a cost squeeze through Sep-26 , but pricing actions are gathering pace and should increasingly offset inflation from around Dec-26 quarters in our view, supporting earnings recovery into H2 and FY28. Our preference remains Personal Care and Tobacco, while Food is becoming more attractive as earnings approach a trough. Cosmetics faces rising competitive intensity, and Beverages continue to grapple with weak overseas demand. Importantly, several staples companies retain sizeable, high-quality overseas profit pools, providing an additional source of earnings resilience. Overall, we see improving earnings momentum driven by price-cost recovery, strengthening profitability and greater capital-return discipline.

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Table 24: Japan Sector: Key Stock picks

Sub-sector	Stance	Preferred Names	Key Rationale
Fashion / Sportswear Retail	Positive	Fast Retailing, Ryohin Keikaku, Asics	Overseas growth, market share gains and strong capital efficiency
Food & Beverages	Neutral	Meiji, Kikkoman	Pricing offsets cost inflation into H2; overseas profit buffer
Tobacco	Positive	Japan Tobacco	Overseas exposure, pricing power
HPC/ Cosmetics	Positive	Kao, Lion, Unicharm, Rohto	Stable demand, pricing power, restructuring benefit

Source: J.P. Morgan.

Table 25: Japan Consumer Discretionary – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	JPY	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Apparel/ Footwear Retail															
Fast Retailing (9983)	9983 JP	71,260	141.8	OW	43	38	22	20	13%	14%	20%	5%	10%	9%	11%
Zozo (3092)	3092 JP	1,172	6.5	N	20	19	12	12	4%	5%	47%	0%	-2%	-23%	-33%
Shimamura (8227)	8227 JP	3,288	4.5	N	14	14	7	7	4%	5%	9%	3%	9%	4%	-4%
ABC-Mart (2670)	2670 JP	2,700	4.2	OW	14	14	6	6	4%	3%	12%	2%	4%	-18%	-21%
and ST (2685)	2685 JP	3,365	1.0	N	13	12	5	5	4%	10%	12%	7%	4%	5%	-15%
U Arrows (7606)	7606 JP	2,473	0.5	N	10	10	6	6	2%	6%	15%	4%	9%	-16%	-51%
Asics (7936)	7936 JP	4,371	20.1	OW	25	21	14	12	16%	22%	39%	4%	11%	-10%	-27%
Broadline retail															
PPIH (7532)	7532 JP	777	15.4	OW	20	18	11	10	6%	10%	16%	-5%	-5%	-2%	-3%
Ryohin Keikaku (7453)	7453 JP	4,350	15.3	OW	34	30	18	16	11%	20%	16%	9%	17%	48%	42%
Isetan Mitsukoshi HD (3099)	3099 JP	3,516	8.1	OW	19	19	12	12	2%	-2%	12%	3%	8%	-14%	-38%
Askul (2678)	2678 JP	1,314	0.7	UW	30	19	8	7	7%		-35%	-11%	-48%	39%	0%
Computer & Electronics Retai															
Yamada HD (9831)	9831 JP	716	4.3	N	12	13	11	12	2%	42%	2%	19%	17%	35%	10%
K's HD (8282)	8282 JP	1,965	2.1	N	11	15	8	10	2%	17%	6%	43%	62%	-5%	1%
QSR / Restaurants															
Zensho HD (7550)	7550 JP	11,590	11.6	OW	33	28	13	11	9%	14%	15%	7%	1%	-4%	-9%
Food&Life Co. (3563)	3563 JP	6,040	8.8	OW	43	36	17	14	19%	25%	26%	4%	14%	22%	34%
Skylark HD (3197)	3197 JP	3,386	4.8	N	37	34	10	9	6%	11%	9%	6%	5%	-59%	-54%
Saizeriya (7581)	7581 JP	7,020	2.3	OW	29	23	9	8	14%	19%	10%	-3%	-6%	3%	-41%
Building Materials/ Paints															
Nippon Paint HD (4612)	4612 JP	1,201	17.8	OW	14	13	10	9	8%	9%	11%	5%	7%	-35%	-53%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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Table 26: Japan Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	JPY	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
HPC															
Kao	4452 JP	3,614	20.5	OW	24	22	11	11	6%	10%	11%	4%	3%	-6%	-7%
Unicharm	8113 JP	988	11.5	OW	23	20	10	9	5%	14%	8%	-7%	-12%	-30%	-34%
Shiseido	4911 JP	3,620	9.0	N	33	26	12	12	4%		-7%	6%	11%	-29%	-35%
Rohto Pharmaceutical	4527 JP	3,047	4.5	OW	19	18	11	11	6%	6%	12%	5%	7%	-13%	-23%
Lion	4912 JP	1,903	3.3	OW	21	20	8	8	3%	3%	9%	-1%	-3%	-4%	-20%
KOSE HD	4922 JP	5,863	2.2	UW	27	25	10	9	4%	-6%	5%	0%	-4%	-18%	-21%
Pola Orbis HD	4927 JP	1,387	2.0	UW	29	25	10	9	1%	9%	6%	4%	-7%	-4%	-7%
Pigeon	7956 JP	2,120	1.6	N	26	23	11	11	6%	11%	10%	3%	3%	5%	-17%
Foods															
Ajinomoto	2802 JP	5,336	32.6	OW	37	31	19	16	7%	18%	18%	1%	1%	34%	51%
Kikkoman	2801 JP	1,827	11.1	OW	26	24	15	14	6%	9%	12%	4%	3%	-20%	-26%
Suntory Beverage & Food	2587 JP	4,527	8.7	N	16	15	6	5	5%	3%	7%	-2%	-6%	-12%	-22%
Toyo Suisan Kaisha	2875 JP	10,610	7.3	OW	15	14	9	8	5%	6%	14%	-1%	-2%	-10%	-20%
Meiji HD	2269 JP	4,544	8.0	OW	19	17	9	8	3%	33%	5%	2%	7%	7%	2%
Yakult Honsha	2267 JP	2,870	5.4	UW	18	19	11	11	3%	-4%	7%	4%	8%	-8%	-27%
Nissin Foods HD	2897 JP	3,021	5.6	N	18	16	9	9	6%	6%	9%	-4%	-5%	-23%	-32%
Yamazaki Baking	2212 JP	3,805	5.2	N	18	16	7	7	3%	4%	9%	0%	0%	-27%	-37%
NH Foods	2282 JP	6,373	3.7	N	15	14	8	7	2%	9%	7%	-3%	2%	-3%	-8%
Kewpie	2809 JP	4,769	4.2	OW	25	23	11	11	5%	3%	10%	1%	1%	10%	11%
Nisshin Seifun Group	2002 JP	2,062	3.6	N	14	14	7	7	2%	11%	6%	0%	3%	-24%	-37%
CCBJ	2579 JP	3,993	4.3	OW	28	22	11	10	1%	-197%	-12%	0%	6%	-88%	-77%
Nichirei Corporation	2871 JP	2,158	3.5	N	16	15	9	9	4%	9%	10%	1%	-2%	2%	-3%
Morinaga Milk Industry	2264 JP	1,150	2.5	OW	16	13	8	7	2%	10%	8%	-2%	0%	39%	21%
Calbee	2229 JP	3,094	2.6	UW	21	19	9	9	5%	6%	8%	-4%	-6%	-1%	-10%
Itoham Yonekyu HD	2296 JP	5,140	1.8	N	16	15	9	8	0%	-1%	7%	3%	2%	7%	1%
Fuji Oil	2607 JP	4,730	2.6	OW	17	15	10	10	3%	42%	5%	-4%	-3%	-1%	-9%
Morinaga & Co	2201 JP	2,545	1.4	N	12	12	7	6	5%	2%	13%	-8%	-13%	-20%	-28%
Prima Meat Packers	2281 JP	2,464	0.8	N	14	14	6	6	3%	25%	4%	-11%	-11%	0%	0%
Alcobev															
Asahi Group HD	2502 JP	1,693	16.1	N	13	12	9	8	6%	22%	4%	2%	-1%	-12%	-17%
Kirin HD	2503 JP	3,061	15.6	N	14	14	10	9	1%	8%	12%	-1%	6%	5%	-11%
Tobacco															
Japan Tobacco	2914 JP	7,050	88.0	OW	19	17	12	12	8%	18%	13%	6%	1%	30%	32%
Consumer staples retail															
Aeon	8267 JP	1,360	23.6	UW	49	39	9	8	5%	14%	6%	-4%	-17%	-24%	-1%
TRIAL	141A JP	3,970	3.0	OW	43	30	11	10	7%	210%	10%	-4%	1%	13%	13%
Kusuri	3549 JP	4,071	2.4	N	20	18	9	9	11%	9%	12%	-3%	-4%	8%	-2%
Seven &i	3382 JP	2,034	29.5	N	17	17	9	9	0%	2%	8%	5%	10%	-9%	-6%
Kobe	3038 JP	2,816	4.8	N	20	19	13	12	8%	5%	22%	4%	2%	-42%	-35%
Drug retail															
Tsuruha	3391 JP	2,253	6.4	OW	22	18	7	6	23%	0%	0%	0%	-6%	22%	31%
Matsukiyo	3088 JP	2,606	6.6	OW	17	16	8	8	4%	8%	10%	1%	0%	-16%	-10%
Sugi	7649 JP	1,318	3.2	OW	15	13	7	6	7%	-2%	17%	-4%	-7%	-19%	-25%
Cosmos	3349 JP	6,481	3.2	N	16	15	8	7	7%	4%	12%	-3%	-4%	-26%	-32%
Sundrug	9989 JP	3,709	2.8	N	13	12	6	6	6%	5%	11%	-2%	-4%	-19%	-25%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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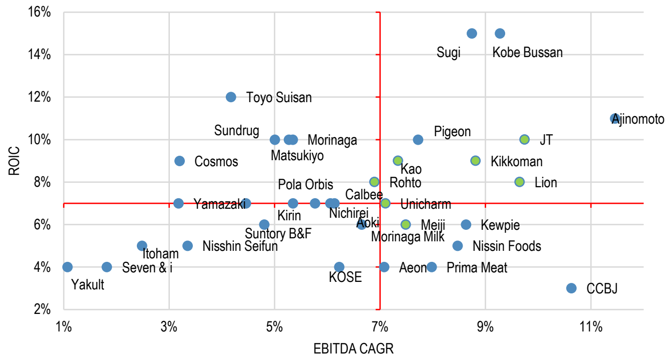
Figure 18: Japan Consumer Staples – ROIC vs EBITDA CAGR

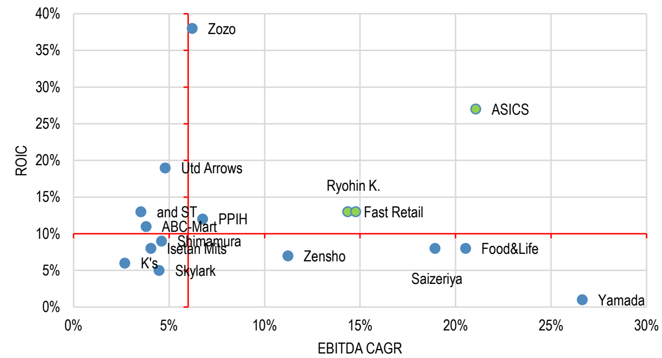
%, CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 19: Japan Consumer Discretionary – ROIC vs EBITDA CAGR

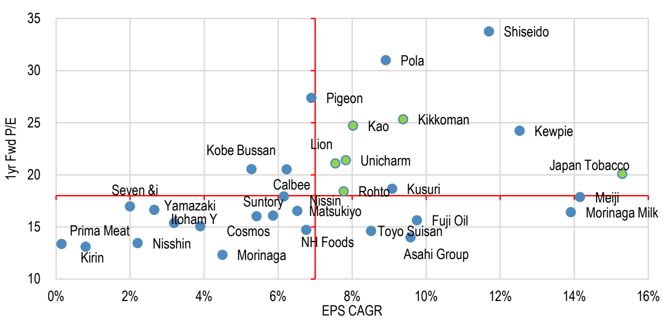
%, CY25, CY25-28E



Note: Red line indicates Median values. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 20: Japan Consumer Staples – P/E vs EPS CAGR

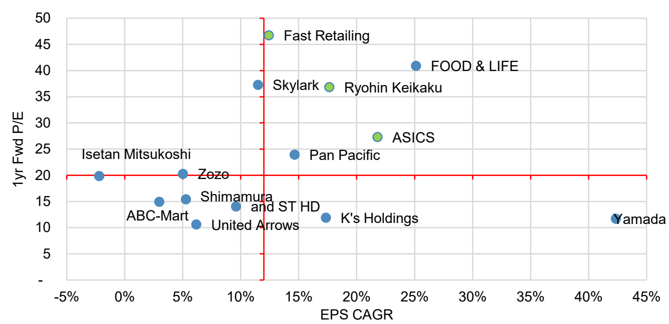
%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 21: Japan Consumer Discretionary – P/E vs EPS CAGR

%, CY26, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 27: Japan Macro Dashboard

% y/y

Japan	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	4.0	3.7	3.6	3.6	3.5	3.3	3.1	2.7	2.9	3.0	2.9	2.1	1.5	1.3	1.5	1.4	1.5	1.6	1.9
Core CPI	1.5	1.5	1.6	1.6	1.6	1.6	1.6	1.6	1.3	1.6	1.6	1.5	1.5	1.5	1.6	1.2	1.2	1.2	1.4
Avg Monthly Cash earnings	1.8	2.7	2.3	2.0	1.4	3.1	3.4	1.3	2.1	2.5	1.7	2.4	2.5	3.4	3.1	3.6	3.3	4.0	
Nominal Consumption Activity Index	5.8	4.5	4.4	5.1	4.4	4.1	3.1	3.0	4.3	4.4	4.7	3.9	3.5	3.7	3.0	3.5	5.5	3.4	
Real Consumption Activity Index	1.9	0.8	0.9	1.3	0.9	0.7	-0.2	0.1	1.1	1.2	1.5	1.5	1.4	1.9	1.0	1.6	3.3	1.2	
Real Consumption Activity Index (Durables)	7.8	12.4	7.8	5.8	3.5	3.1	-2.2	1.0	3.4	2.1	1.4	3.0	2.2	-3.4	-2.3	8.8	11.2	3.9	
Real Consumption Activity Index (Non-Durables)	0.0	-2.2	-1.9	-1.4	-2.6	-2.3	-3.0	-4.1	-2.7	-2.1	-1.4	-2.3	-1.3	0.7	-2.0	-0.9	1.4	-1.6	
Passenger cars sales	12.2	15.6	7.2	5.2	0.7	2.9	-4.0	-11.4	-4.5	-7.4	-9.2	-1.6	-7.7	-9.8	-7.9	16.9	5.3	14.1	10.0

Source: J.P. Morgan, Bloomberg Finance L.P.

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Korea Consumer

We are constructive on Korea Consumer, but not because consumer spending suddenly looks uniformly strong but because we identify three key themes : globalizing K-beauty, domestic premium consumption, and underappreciated CVS margin recovery. The first is exporting Korean cultural relevance into the US and Europe; the second is monetizing the wealth / tourist / income cycle at home; and the third is a defensive retail consolidation trade still sitting at low multiples.

Our preferred picks are APR for global K-beauty brand scale-up, Shinsegae for premium domestic retail, and BGF Retail for accelerating earnings momentum. On the other hand, LG H&H remains our least preferred given its reliance on legacy brands and channels, and the still-unproven sustainability of US/China growth.

Table 28: Korea Consumer Discretionary/CVS scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Retail								
Shinsegae	OW	●	◕	○	◕	◑	◔	◑
Lotte Shopping	N	◕	◕	○	◕	◑	○	○
Hyundai Dept Stores	OW	◕	◕	○	◕	◑	○	◔
BGF Retail	OW	○	○	◔	◔	●	◔	◔
GS Retail	OW	○	○	◔	◔	●	◔	◔

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Table 29: Korea Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	COGS Inflation exposure	Innovation/ Premiumization	Channel execution	Competitive landscape	Market share	Overseas business	Capital allocation prudence
HPC										
APR	OW	●	◑	●	◑	●	○	●	●	◑
Amorepacific	OW	◑	◕	◕	◑	◕	○	◑	◕	◑
LG H&H	UW	◔	◔	◕	◑	◑	○	○	◔	◑
Kolmar	OW	◕	◔	◑	◕	●	○	◑	◑	◑
Cosmax	N	◕	◔	◑	◕	●	○	◑	◑	◑

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

K-Beauty: own the new model, not the old giants

Cosmetics is Korea's global growth angle, but the old K-beauty playbook has changed. The fastest growth is not coming from legacy brands rebuilding China; it is coming from digital-native brands with high product velocity, global platform reach and outsourced manufacturing. That is why the category can look strong while incumbents still feel structurally challenged. The profit pool is being reshuffled, not simply expanded.

APR is the cleanest brand winner in our view. Medicube is only 2-3 years into its current cycle, vs. prior leading K-beauty brands that often sustained growth for 6-10 years, and it has lower concentration risk across channel, geography and hero SKUs, compared to other indie/young brands, in our view. LG H&H remains our key UW because it sits on the wrong side of the K-beauty profit-pool shift: legacy brands, legacy channels and still-insufficient proof that recent US/China momentum can compound.

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Department stores: Shinsegae our top pick

Department stores are the most direct expression of Korea's premium-consumption cycle, in our view. The bear case is simple: isn't this just a levered KOSPI play, and if so why shouldn't we just trade memory stocks with cheaper valuations? We think that is too narrow, because the sector has three growth drivers: the wealth effect works with a lag, inbound shoppers are already contributing meaningfully, and the semiconductor bonus cycle has not yet fully arrived. That creates a multi-quarter, potentially multi-year earnings runway rather than a one-off spike. Among three players, **Shinsegae** stands out because it has the strongest flagship assets, the best foreign-customer momentum and a cleaner non-core businesses setup. After the -46% correction in July (vs. KOSPI's -22%), the stock is back at historical levels of ~9x P/E, which we think prices in the KOSPI-beta fear but not Shinsegae's relative earnings quality.

CVS: may be less boring than it looks

CVS is a steadier choice within Korea Consumer. It lacks department stores' luxury torque and APR's global growth optionality, but it has a very investable setup: better SSSG, better mix, inbound tourism, cost discipline and consolidation. The key point is that tourists are not just adding sales; they are improving the basket by shifting mix toward food, snacks, beverages and ice cream rather than low-margin tobacco.

We prefer **BGF** in the space as the more underappreciated catch-up trade, with SSSG rebounding to mid-single digits led by strong inbound/foreigner momentum, at a cheaper valuation.

Table 30: Korea : Key stock picks

Sub-sector	Stance	Preferred Names	Key Rationale
Fashion Retail / Sportswear Retail	Positive	Shinsegae	Strong revenue growth capturing domestic + foreign demand tailwinds; best positioned for structural department-store demand upcycle
Grocery Retail	Positive	BGF	Strong rebound in SSSG from inbound tourists, improving product mix, market consolidation
HPC	Neutral	APR	Expect its robust momentum to be sustained, from a high hit ratio, strengthening brand loyalty and geographic/channel diversification

Source: J.P. Morgan.

Figure 22: Korea Consumer Discretionary – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	KRW	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Retail															
Shinsegae Inc	004170 KS	426,000	2.9	OW	10	9	8	7	5%	251%	0%	20%	66%	30%	-1%
Lotte Shopping	023530 KS	110,700	2.3	N	9	8	8	8	2%	104%	0%	2%	33%	-36%	-49%
Hyundai Dept Stores	069960 KS	96,400	1.5	OW	8	6	6	6	7%	30%	5%	6%	8%	8%	-7%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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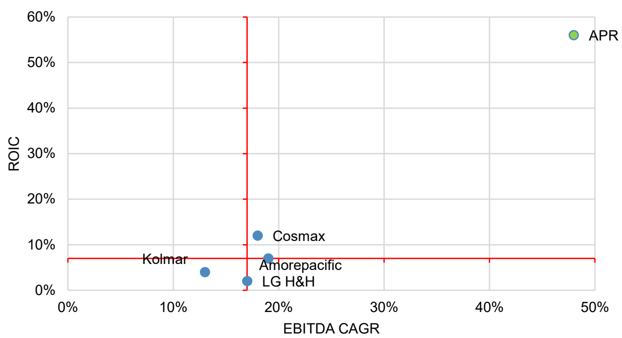
Table 31: Korea Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	KRW	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Personal care															
APR	278470 KS	430,500	11.7	OW	28	20	20	15	44%	47%	75%	10%	35%	-1%	-1%
Amorepacific	090430 KS	144,900	6.2	OW	25	22	11	10	9%	28%	4%	0%	0%	-19%	-29%
LG H&H	051900 KS	304,000	3.3	UW	23	19	6	6	3%	-245%	-2%	26%	30%	12%	-6%
Kolmar	161890 KS	152,000	2.6	OW	19	16	12	10	13%	29%	15%	22%	40%	8%	-17%
Cosmax	192820 KS	275,500	2.3	N	19	16	12	10	16%	24%	24%	14%	19%	15%	-17%
Consumer Staples Retail															
BGF Retail	282330 KS	147,600	1.9	OW	11	10	3	3	4%	18%	16%	8%	13%	-16%	-29%
GS Retail	007070 KS	26,100	1.6	OW	11	9	4	4	4%	160%	1%	11%	16%	25%	5%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

Figure 23: Korea Consumer Staples – ROIC vs EBITDA CAGR

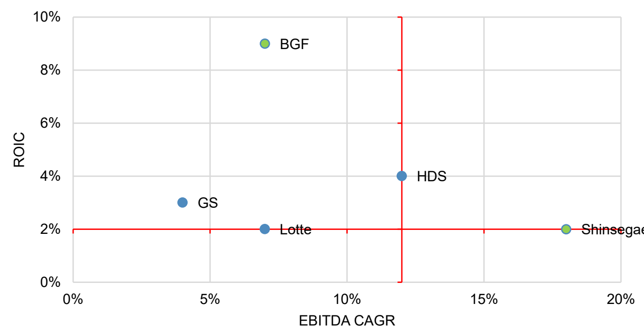
%, CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 24: Korea Convenience Stores – ROIC vs EBITDA CAGR

%, CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 32: Korea Macro Dashboard

% y/y

Korea	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	2.2	2.0	2.1	2.1	1.9	2.2	2.1	1.7	2.1	2.4	2.4	2.3	2.0	2.0	2.2	2.6	3.1	3.2	2.8
Core CPI	1.9	1.8	1.9	2.1	2.0	2.0	2.0	1.3	2.0	2.2	2.0	2.0	2.0	2.3	2.2	2.2	2.5	2.5	2.6
Retail sales	1.7	-0.7	1.7	1.2	0.5	1.4	4.2	1.4	4.2	2.9	3.1	3.5	2.2	5.5	7.4	4.5	5.4	8.4	
Air passenger traffic	13.0	4.7	5.7	4.6	5.3	3.1	1.6	3.5	0.9	3.1	2.5	1.8	5.2	6.6	9.3	9.6	5.5	1.5	5.3

Source: J.P. Morgan, Bloomberg Finance L.P.

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ASEAN Consumer

Thailand Consumer: Earnings momentum returns, but stay selective. Thailand offers the strongest EPS growth outlook in ASEAN this year, driven by oil & gas earnings and significant margin expansion among retailers. While parts of this earnings acceleration may not be fully sustainable, it marks an important inflection after roughly seven quarters of pervasive pessimism and has turned sentiment meaningfully more constructive. Inflation has also undershot expectations, which reduces concerns around H2 earnings pressure and has supported EPS upgrades across much of the reporting universe. Non-food retailers, particularly home improvement players, have delivered outsized margin gains through favorable price/mix and low-cost inventory benefits, while food retailers face a tougher backdrop as government price controls limit pricing flexibility and higher fuel and operating costs weigh on margins. Despite the near-term earnings momentum in home improvement, we remain cautious given weak underlying demand, negative mid-single-digit SSSG, a sluggish property market and concerns around margin sustainability. Our preferred exposure remains **CPALL** and **MR.D.I.Y.Thailand**, consistent with our quality-led framework that favors market leaders capable of sustaining growth through scale, execution and share gains. We remain neutral on Staples, where the risk-reward appears more balanced.

Malaysia: A visibility market, not a momentum market. Consumption continues to hold up, with retail sales consistently growing around 2ppt ahead of GDP, supported by a stable macro backdrop and a government bias toward sustaining household spending ahead of the upcoming budget cycle. The 9 October Budget is the key catalyst to watch, with any cash-transfer or consumer-support measures likely to reinforce spending resilience. Inflation and cost pressures remain manageable, although pricing pass-through tends to lag by roughly two quarters, suggesting near-term earnings pressure for branded consumer companies before margin recovery takes hold. Competitive intensity remains benign. Chinese FMCG brands are gaining shelf presence, but this is proving more beneficial for retailers than disruptive, as suppliers pay higher fees for shelf space. We see little evidence of meaningful channel disruption, with online/offline and modern/general trade dynamics broadly unchanged. Tourism remains supportive rather than transformational, with Chinese arrivals tracking broadly in line with last year and the focus shifting from visitor volumes to higher-value spending per tourist.

99SMART remains our preferred exposure, FFB is stabilizing, and Staples faces a more challenging near-term earnings setup as pricing catches up to costs. **99SMART** offers superior earnings visibility and is the cleanest proxy for consumption support measures, given its exposure to everyday staples and value-seeking consumers. **FFB** appears closer to earnings stabilization after multiple estimate cuts, while recent price increases had little impact on consumption, highlighting the attractive growth characteristics of the dairy category. By contrast, we expect modest earnings pressure for branded Staples as cost inflation filters through with a lag.

Indonesia: The macro is messy but the bottom is taking shape. We think Indonesia remains the most debated consumer market in ASEAN. The 2Q26 earnings season delivered broad-based outperformance, with the listed Consumer Staples companies that we track growing sales 15% y/y and discretionary rising 13% y/y. We believe the strong growth momentum might hit a pause for consumer staple companies, as government spending is expected to wane in 2H26. An early look at the 2027 budget also points to a consolidation in government spending and lower subsidy spending, which has

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historically been a bane for consumer companies' performance. We are also concerned about margins, as El Niño has resulted in rising wheat and palm oil prices. We are most constructive on sports spending, which is increasingly seen as a staple for Indonesians. Competition has intensified, with Chinese brands taking share and pricing power fading across FMCG, leaving growth increasingly dependent on execution rather than inflation-led pricing.

We continue to prefer a bottom-up approach across Indonesian consumer names. Our top picks are **MAPA** and **INDF**, and while we are OW on ICBP we prefer INDF due to its CPO exposure and potential hedging for a severe El Niño event. We expect MAPA's strong sales momentum to continue and we see its latest corporate action in Malaysia as value accretive to the overall business.

Table 33: ASEAN : Key stock picks

Sub-sector	Stance	Preferred Names	Key Rationale
Grocery Retail	Positive	99SMART, CPALL	Defensive exposure — value formats gain share as consumers trade down, supported by store roll-out, operating leverage and category leadership
Fashion Retail / Sportswear Retail	Negative	MAPA	Resilient, premium K-shaped exposure, supported by strong brand positioning; among fastest growers
Discretionary Retail	Neutral	MRDIYT	Large expansion runway (penetration-led), ~16% store-count CAGR and expected share gains in value-seeking environment
Foods & Beverages	Positive	FFB, INDF, CNPF, MSN	Pricing power, attractive valuations/yield and superior execution-led growth, with input-cost dynamics turning supportive

Source: J.P. Morgan.

Table 34: ASEAN Consumer Discretionary scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Broadline / Specialty Retail								
99 Speed Mart	OW	◔	◔	◕	◔	◕	◔	◑
Central Retail Corporation	N	○	◑	◑	◑	◑	◑	◑
Berli Jucker PCL	UW	○	◔	◔	◔	◔	◑	◑
Mitra Adiperkasa	N	◔	◑	◑	◕	◑	◕	◑
MAP Aktif Adiperkasa	OW	◔	◑	◑	◕	◑	◕	◑
Food Retail / Restaurants								
CP All Pcl	OW	○	◕	◑	●	●	◔	◔
CP Axtra	UW	○	◔	◔	◑	◑	◑	◔
Alfamart	N	○	◑	◑	●	◔	◔	◑
Jollibee Foods Corp.	N	○	◑	◔	●	◑	○	◔
Home Improvement Retail								
MR DIY Group	N	◔	◑	◕	◕	◑	◕	◑
Home Product Center Pcl	N	○	◕	◕	◑	◔	◔	◑
MR DIY Thailand	OW	○	◑	◑	◔	●	◔	◑
Siam Global House	N	○	◑	◑	◔	◑	◔	◔
Wilcon Depot	UW	○	◔	◔	◔	◔	◔	●

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

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Table 35: ASEAN Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	COGS Inflation exposure	Innovation/ Premiumization	Channel execution	Competitive landscape	Market share	Overseas business	Capital allocation prudence
HPC										
Unilever Indonesia	UW	○	◑	◑	◔	◔	◔	◔	◔	◕
Foods										
Nestle (Malay)	N	○	◕	○	◕	○	◔	◑	◑	◑
Indofood CBP	OW	○	●	◑	◔	○	●	◑	◑	◔
Masan Group	OW	◕	◕	●	◕	○	◔	◕	◑	◑
Indofood Sukses Makmur	OW	○	●	◑	◔	○	●	◑	◑	◔
Universal Robina	UW	○	◑	●	◔	○	◑	◔	◑	◕
Monde Nissin	N	◔	◕	●	◔	○	◕	◑	◔	◔
Century Pacific Foods	OW	◔	◕	●	◑	○	◕	◕	◑	●
Osotspa	OW	○	◔	◕	◑	○	◑	◔	◑	◑
Thai Union Group	OW	○	◑	◔	◕	○	◔	◑	●	◕
Farm Fresh Berhad	OW	◑	◕	○	◑	◔	◑	◕	◑	◑
Alcobev										
Thai Beverage	N	○	◑	●	◔	○	●	◑	◑	◔
Emperador (EMI SP)	UW	○	◑	●	◔	○	◑	○	◑	◑

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Table 36: ASEAN Consumer Discretionary – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	THB/IDR/ PHP/MYR	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Broadline / Specialty Retail															
Central Retail Corporation	CRC TB	29	5.3	N	19	18	9	9	5%	9%	11%	12%	9%	-27%	-32%
Berli Jucker PCL	BJC TB	15	1.9	UW	14	13	11	11	2%	2%	3%	5%	-1%	-26%	-38%
Mitra Adiperkasa	MAPI IJ	1,465	1.4	N	10	9	5	4	13%	10%	17%	5%	6%	-21%	-40%
MAP Aktif Adiperkasa	MAPA IJ	710	1.1	OW	11	9	6	5	14%	14%	22%	3%	4%	-20%	-25%
Food Retail / Restaurants															
CP Axtra	CPAXT TB	15	4.6	UW	16	15	10	9	2%	9%	3%	-6%	-8%	-41%	-42%
Alfamart	AMRT IJ	1,340	3.1	N	14	13	6	6	8%	11%	20%	-1%	0%	-46%	-53%
Jollibee Foods Corp.	JFC PM	153	2.8	N	18	15	7	7	9%	8%	14%	-7%	-27%	-41%	-61%
Home Improvement Retail															
MR DIY Group	MRDIY MK	1	3.2	N	19	17	11	10	8%	9%	32%	-3%	-3%	-24%	-30%
Home Product Center Pcl	HMPRO TB	6	2.5	N	14	13	9	8	3%	5%	23%	0%	-4%	-35%	-46%
MR DIY Thailand	MRDIYT TB	9	1.7	OW	18	16	9	8	15%	15%	36%	2%	2%	0%	0%
Siam Global House	GLOBAL TB	7	1.1	N	15	14	10	10	4%	8%	8%	11%	18%	-28%	-41%
Wilcon Depot	WLCON PM	6	0.4	UW	9	9	5	4	7%	1%	10%	-3%	-7%	-55%	-61%

Note: THB/IDR/PHP/MYR currency for TB/IJ/PM/MK tickers.
Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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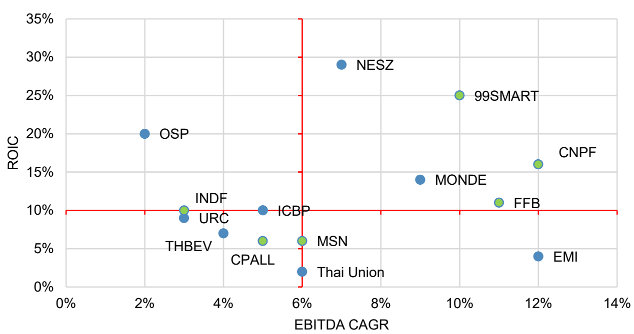
Table 37: ASEAN Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	THB/IDR/PH P/MYR/SGD/ VND	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
HPC															
Unilever Indonesia	UNVR IJ	1,710	3.7	UW	15	15	11	11	4%	5%	122%	-2%	-4%	-25%	-49%
Foods															
Nestle (Malay)	NESZ MK	100	5.8	N	37	35	21	20	4%	11%	91%	4%	8%	-12%	-11%
Indofood CBP	ICBP IJ	7,375	4.9	OW	9	8	7	6	6%	6%	19%	-3%	-9%	-30%	-50%
Masan Group	MSN VN	70,200	3.9	OW	14	11	10	9	10%	33%	13%	13%	41%	-56%	-54%
Indofood Sukses Makmur	INDF IJ	7,200	3.6	OW	5	5	4	4	4%	6%	15%	-2%	-1%	-14%	-45%
Universal Robina Corp	URC PM	60	2.1	UW	11	10	6	6	4%	4%	8%	1%	-4%	-37%	-51%
Monde Nissin	MONDE PM	7	2.0	N	12	11	7	6	5%	11%	15%	1%	-2%	-38%	-39%
Century Pacific Foods	CNPF PM	32	1.8	OW	15	14	10	9	11%	8%	19%	-1%	-4%	-13%	-14%
Osotspa PCL	OSP TB	16	1.4	OW	13	11	8	7	1%	4%	23%	3%	1%	-37%	-42%
Thai Union Group PCL	TU TB	13	1.5	OW	11	10	10	9	3%	13%	10%	1%	1%	0%	-13%
Farm Fresh Berhad	FFB MK	2	0.9	OW	26	22	16	14	12%	12%	17%	-5%	-19%	-1%	-1%
Alcobev															
Thai Beverage	THBEV SP	0.5	9.1	N	11	10	10	10	1%	6%	17%	1%	1%	-11%	-26%
Emperador (EMI SP)	EMI SP	0.3	4.2	UW	42	36	26	23	9%	12%	4%	-1%	-9%	29%	29%
Consumer Staples Retail															
99 Speed Mart	99SMART MK	3	7.1	OW	39	36	22	19	9%	14%	39%	0%	-1%	9%	9%
CP All Pcl	CPALL TB	46	12.2	OW	13	12	11	10	4%	11%	21%	0%	0%	-44%	-49%

Note: THB/IDR/PHP/MYR /SGD/VND currency for TB/IJ/PM/MK/SP/VN tickers.
Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

Figure 25: ASEAN Consumer Staples – ROIC vs EBITDA CAGR

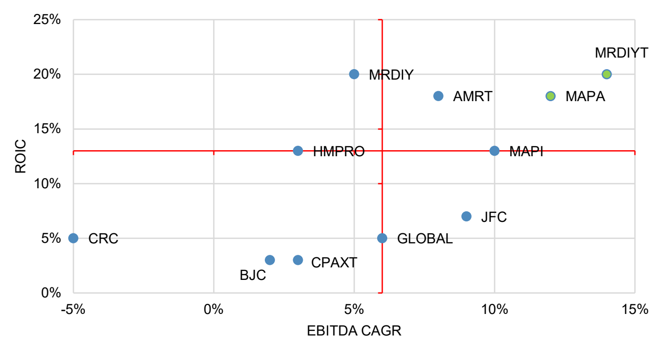
%, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 26: ASEAN Consumer Discretionary – ROIC vs EBITDA CAGR

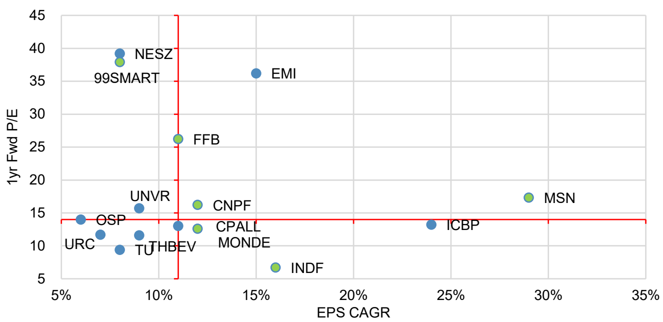
%, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 27: ASEAN Consumer Staples – P/E vs EPS CAGR

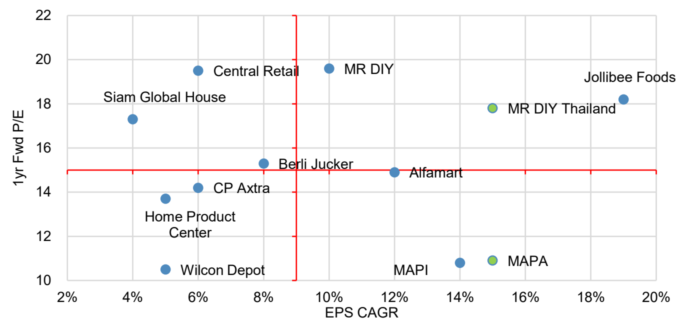
%, CY26E, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 28: ASEAN Consumer Discretionary – P/E vs EPS CAGR

%, CY26E, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 38: ASEAN Macro Dashboard

% y/y

Indonesia	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	0.8	-0.1	1.0	2.0	1.6	1.9	2.4	2.3	2.7	2.9	2.7	2.9	3.6	4.8	3.5	2.4	3.1	3.3	2.9
Core CPI	2.4	2.5	2.5	2.5	2.4	2.4	2.3	2.2	2.2	2.4	2.4	2.4	2.5	2.6	2.5	2.4	2.6	2.8	2.8
Retail Sales	0.5	2.0	5.5	-0.3	1.9	1.3	4.7	3.5	3.7	4.3	6.3	3.5	5.7	6.5	3.4	-3.7	-3.9	-3.0	0.9

Thailand	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	1.3	1.1	0.8	-0.2	-0.6	-0.3	-0.7	-0.8	-0.7	-0.8	-0.5	-0.3	-0.7	-0.9	-0.1	2.9	2.8	2.4	2.0
Core CPI	0.8	1.0	0.9	1.0	1.1	1.1	0.8	0.8	0.7	0.6	0.7	0.6	0.6	0.6	0.6	0.8	0.9	1.2	1.3
Private Consumption	1.8	0.9	2.5	2.0	1.5	0.9	2.9	2.2	3.0	4.7	0.5	6.2	6.7	5.0	5.4	2.4	4.0	5.1	
Motor Vehicle Sales	-11.9	-6.7	-0.5	1.0	4.7	5.1	5.8	5.4	23.8	24.8	20.6	37.0	53.8	-2.2	7.3	2.5	10.6	17.3	

Philippines	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	2.9	2.1	1.8	1.4	1.3	1.4	0.9	1.5	1.7	1.7	1.5	1.8	2.0	2.4	4.1	7.2	6.8	6.4	6.2
Core CPI	2.6	2.4	2.2	2.2	2.2	2.2	2.3	2.7	2.6	2.5	2.4	2.4	2.8	2.9	3.2	3.9	4.1	4.4	4.2
Household Consumption Loan	24.4	24.1	23.9	24.0	23.7	24.0	23.6	23.9	23.5	23.1	22.9	21.5	21.3	20.8	20.5	19.6	19.0	17.8	

Malaysia	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	1.7	1.5	1.4	1.4	1.2	1.1	1.2	1.3	1.5	1.3	1.4	1.6	1.6	1.4	1.7	1.9	2.0	1.9	1.8
Core CPI	1.8	1.9	1.9	2.0	1.8	1.8	1.8	2.0	2.1	2.2	2.2	2.3	2.3	2.0	2.1	2.0	2.0	1.9	1.8
Credit Card Local Cardholder Purchases	6.9	-3.9	7.4	4.9	5.3	5.7	6.3	8.1	5.3	4.4	7.0	3.6	1.4	10.4	4.6	7.3	6.3	3.6	

Vietnam	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26
CPI	3.6	2.9	3.1	3.1	3.2	3.6	3.2	3.2	3.4	3.3	3.6	3.5	2.5	3.4	4.7	5.5	5.6	4.7	4.5
Core CPI	3.1	2.9	3.1	3.1	3.3	3.5	3.3	3.3	3.2	3.3	3.3	3.3	3.2	3.7	4.0	4.7	4.7	4.5	4.6
Retail Sales and Services	9.5	9.4	9.9	9.9	9.7	9.3	9.3	9.4	9.5	9.3	9.1	9.2	9.3	7.9	10.9	11.1	11.2	12.9	13.1

Source: J.P. Morgan, Bloomberg Finance L.P.

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Australia Consumer

The Australian consumer has been more resilient than feared, with retail spending still growing despite a tougher 2026 macro backdrop. The question is whether this resilience can last. We are increasingly cautious, as several pressures are now converging: 3x RBA cash rate increases in early 2026, up to one more hike priced into futures market expectations, a materially slower housing market after the May Federal Budget, and a 4.75% minimum wage increase for FY27 that raises the cost hurdle for retailers. The housing slowdown is particularly important. House prices and transaction activity have both weakened after the Budget materially changed the investment case for housing. That has already hit housing-related categories, but we think the bigger risk is the lagged effect on broader consumer confidence and spending. In short, spending has held up so far, but we see a credible risk of deceleration over the next 6–12 months.

Table 39: Australia – Key stock picks

Sub-sector	Preferred Names	Key Rationale
Consumer Electronics Retail	JB Hi-Fi	AI-led tech upgrade cycle and higher ASPs underpin earnings growth, with potential tariff tailwinds and attractive valuation (~19x FY26E P/E)
Drug Retail	Sigma Healthcare	Market-leading healthcare retailer combining double-digit growth, unmatched value positioning, synergy benefits, global expansion potential and a capital-light model

Source: J.P. Morgan.

Figure 29: Australia Consumer Discretionary scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Consumer Electronics Retail								
JB Hi-Fi	OW	○	◑	●	●	◕	◑	◕
Harvey Norman	N	○	◑	◕	●	◔	◑	◑
Breville Group	OW	◑	◕	●	◕	◕	●	◑
Beacon Lighting	UW	◔	◔	○	○	◑	◔	◔
Apparel / Footwear Retail								
Premier Investments	OW	○	◔	◔	◔	◑	◑	◑
Universal Store Holdings	OW	◔	◔	◕	○	◑	◑	◑
Accent Group	N		◔	◑	○	◔	◔	◔
Restaurants								
Guzman Y Gomez	UW	○	◑	◕				◔
Domino's Pizza Enterprises	N	○	◑	◔				◔
Jewellery & other speciality Retail								
Wesfarmers	UW	○	◑	●	●	●	◕	◔
Super Retail Group	OW	○	◑	◔	●	◑	◑	◔
Lovisa Holdings	UW	◔	○	◕	○	◕	●	◕
Nick Scali	N	◑	◑	◕	◔	◑	◕	
Temple & Webster	UW	◕	○	○	○	◕	◔	○

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

Figure 30: Australia Consumer Staples scorecard

	Rating	Demand Visibility	Pricing power	Margin resilience	Competitive landscape	Market share	Overseas business	Capital allocation prudence
Grocery/Food Retail								
Woolworths Group	N	○	◑	●	●	◕	◑	◑
Coles Group	N	○	◑	●	●	◕	◔	◕
Endeavour Group	UW	○	◑	◔	●	◕	◔	◔
Metcash	N	○	◑	◕	●	○	◔	◕
Drug Retail								
Sigma Healthcare	OW	◑	◑	●	◕	●	◕	◕

Note: Circle shading indicates the company's strength in each parameter.
Source: J.P. Morgan.

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Consumer Discretionary

Discretionary retail is increasingly a stock-picker's market. Housing-exposed categories are already under pressure, while petrol price volatility since the start of the Middle East conflict has created uneven sales trends. Margins have been more resilient than expected, helped by rational promotional intensity, but the mix is changing: demand and promotional investment are becoming more concentrated around major events such as Black Friday, Boxing Day and End of Financial Year sales. That makes quality more important. We prefer retailers with strong supplier relationships, customer relevance and the pricing power to defend margins. **JB Hi-Fi** remains our preferred exposure, particularly after the sell-down at the FY26 result, which we view as unjustified.

Consumer Staples

Staples are not immune. Inflation has been less material than initially expected since the start of the Middle East conflict, which limits the pricing tailwind just as labor costs are rising, with minimum wage growth at 4.75% in FY27E. In this environment, we prefer Staples retailers with visible gross margin support. **Sigma** remains our preferred pick, offering a differentiated double-digit growth profile through Chemist Warehouse, underpinned by market leadership, a strong value proposition and global rollout optionality. Woolworths also screens well, supported by benefits from its Customer Offer Reset program. Endeavour remains our least preferred Staples exposure, as liquor volume trends remain challenged and promotional intensity is high.

Table 40: Australia Consumer Discretionary – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	AUD	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Consumer Electronics Retail															
JB Hi-Fi	JBH AU	67	5.2	OW	15	14	8	8	4%	3%	29%	0%	-3%	1%	9%
Harvey Norman	HVN AU	4	3.7	N	11	11	7	8	2%	1%	11%	-1%	-2%	-3%	-2%
Breville Group	BRG AU	33	3.4	OW	31	28	17	15	8%	12%	15%	0%	0%	4%	6%
Beacon Lighting	BLX AU	2	0.3	UW	16	15	6	6	2%	2%	17%	-2%	-6%	-22%	-17%
Apparel / Footwear Retail															
Premier Investments	PMV AU	12	1.3	OW	13	12	7	7	2%	5%	24%	-5%	-3%	-32%	-37%
Universal Store Holdings	UNI AU	8	0.4	OW	13	12	6	6	11%	9%	16%	-1%	0%	-4%	-6%
Accent Group	AX1 AU	1	0.3	N	10	9	3	3	5%	15%	13%	-2%	-19%	-32%	-35%
Jewellery & other speciality Retail															
Wesfarmers	WES AU	77	62.6	UW	28	26	16	15	3%	6%	33%	0%	-1%	12%	26%
Super Retail Group	SUL AU	13	2.1	OW	12	12	6	5	4%	6%	16%	0%	-8%	-3%	2%
Lovisa Holdings	LOV AU	25	2.0	UW	26	23	11	10	13%	11%	109%	-1%	-4%	-23%	-17%
Nick Scali	NCK AU	15	0.9	N	17	16	8	8	4%	3%	22%	0%	-3%	20%	28%
Temple & Webster	TPW AU	5	0.4	UW	41	52	23	14	10%	23%	9%	-2%	-36%	-68%	-68%
Restaurants															
Guzman Y Gomez	GYG AU	28	2.0	UW	57	46	38	26	19%	23%	4%	0%	4%	-60%	-60%
Domino's Pizza Enterprises	DMP AU	21	1.4	N	16	15	9	9	-4%	7%	-1%	1%	0%	-44%	-50%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

Table 41: Australia Consumer Staples – Valuation Comps, EPS Revisions and P/E deviations

		Price	Mkt cap	JPM	P/E		EV/EBITDA		Revenue	EPS	ROE	EPS Revision (CY26)		P/E deviation (vs avg)	
	BBG Ticker	AUD	USD bn	Rating	CY26E	CY27E	CY26E	CY27E	(CY25-28E CAGR)	(CY25-28E CAGR)	CY25	3m	6m	5yr	10yr
Grocery/ Food Retail															
Woolworths Group	WOW AU	39	34.4	N	26	23	10	10	4%	11%	19%	0%	-4%	11%	24%
Coles Group	COL AU	24	22.7	N	24	23	10	9	3%	5%	29%	1%	-1%	6%	6%
Endeavour Group	EDV AU	3	4.1	UW	17	17	8	8	2%	2%	11%	0%	-8%	-13%	-14%
Metcash	MTS AU	3	2.4	N	13	12	7	7	1%	2%	18%	0%	-1%	-6%	-5%
Drug Retail															
Sigma Healthcare	SIG AU	3	22.4	OW	41	34	32	24	13%	18%	19%	0%	0%	2%	39%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. As of 1st Sep'26.

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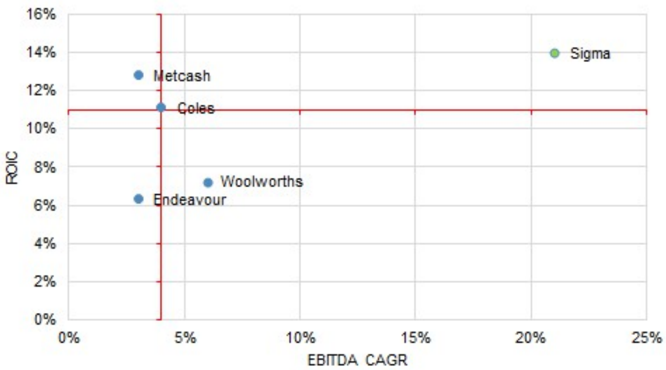
Figure 31: Australia Consumer Staples – ROIC vs EBITDA CAGR

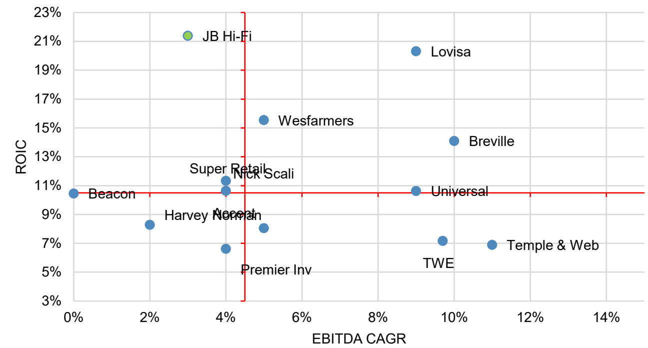
% , CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 32: Australia Consumer Discretionary – ROIC vs EBITDA CAGR

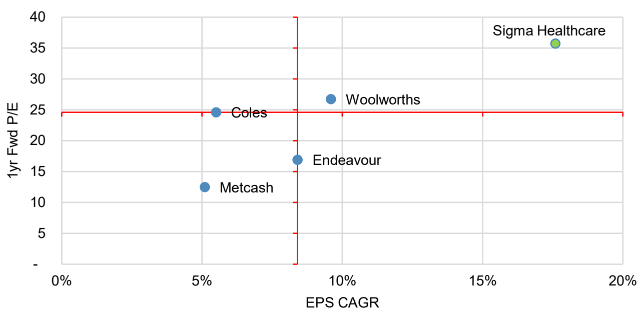
% , CY25, CY25-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 33: Australia Consumer Staples – P/E vs EPS CAGR

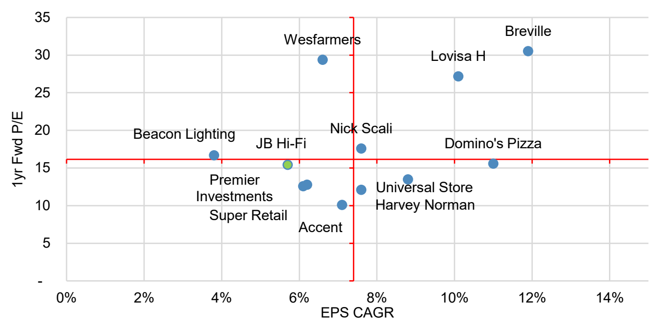
%, CY26E, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 34: Australia Consumer Discretionary – P/E vs EPS CAGR

%, CY26E, CY26-28E



Note: Red line indicates Median value of the sector. Green indicates top picks.
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Table 42: Australia Macro Dashboard

% y/y

Australia	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26
CPI				2.4	2.1	1.9	3.0	3.2	3.6	3.8	3.4	3.8	3.8	3.7	4.6	4.2	4.0	3.8
Core CPI			5.2			2.7			2.9			3.3			3.5			3.5
Household Spending	3.7	-0.4	3.8	3.3	4.7	5.3	5.8	3.3	5.8	5.8	5.1	5.2	4.6	4.7	6.8	5.1	4.3	7.0
Household Spending (Discretionary)	2.7	-1.1	3.1	2.4	4.8	4.4	5.5	3.2	4.8	5.4	5.3	4.4	4.9	4.7	5.1	5.0	4.7	7.5
Household Spending (Non-Discretionary)	5.7	0.8	4.9	4.9	4.5	7.0	6.2	3.6	7.6	6.5	4.7	6.8	4.1	4.7	9.7	5.4	3.5	6.1

Source: J.P. Morgan, Bloomberg Finance L.P.

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 16, 2025. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
16-Nov-25	OW	218000	340,000
27-Mar-26	OW	310500	420,000
09-Apr-26	OW	339000	450,000
08-May-26	OW	403000	520,000
06-Aug-26	OW	360000	560,000

BGF Retail (282330.KS, 282330 KS) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 13, 2018. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
23-Jan-24	NR	146100	--
19-Apr-24	N	125600	130,000
01-Aug-24	N	103400	120,000
07-Nov-24	N	115300	130,000
11-Feb-25	N	99500	110,000
08-May-25	N	112900	100,000
07-Aug-25	N	121000	110,000
10-Feb-26	N	124500	130,000
06-Aug-26	OW	123200	180,000

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LG H&H (051900.KS, 051900 KS) Price Chart

Date	Rating	Price (W)	Price Target (W)
06-Dec-23	N	325000	380,000
11-Jan-24	N	332500	370,000
01-Feb-24	N	303500	320,000
10-Apr-24	N	357500	360,000
26-Apr-24	N	375500	390,000
26-Jul-24	N	341500	370,000
30-Oct-24	N	350000	320,000
10-Jan-25	N	312000	310,000
04-Feb-25	N	300500	320,000
01-Aug-25	UW	316000	220,000
10-Nov-25	UW	289500	190,000
28-Jan-26	UW	276000	180,000
30-Apr-26	UW	255000	190,000
30-Jul-26	UW	270500	210,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Shinsegae (004170.KS, 004170 KS) Price Chart

Date	Rating	Price (W)	Price Target (W)
23-Jan-24	NR	158200	--
14-Jul-26	OW	603000	880,000
11-Aug-26	OW	433500	830,000
12-Aug-26	OW	432500	840,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jan 08, 2025 - Jul 13, 2026.

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